

Introduction to fringe benefit tax [¶21-010]

[¶21-010]

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Fringe benefit tax (FBT) is a tax payable by an employer on the value of fringe benefits provided to employees. Broadly, a fringe benefit is a non-cash benefit provided by an employer to an employee in connection with employment. A common example is a motor vehicle provided to an employee that is available to be used privately as part of the employee's remuneration package.

The reason an employer, rather than an employee, is taxed is to encourage a shift to remuneration paid in cash rather than a payment in kind. It also helps to control administration, as it is easier to assess one employer rather than a multitude of employees. The Government introduced FBT primarily to widen the tax base, supply more revenue, improve equity (by ensuring non-cash benefits provided to employees were subject to tax) and improve resource allocation. An employer is taxed on all benefits provided to:

- # employees — this applies to benefits provided or granted in relation to past, present or future employment by the employer (the concept of employment is therefore very wide), and
- # shareholder-employees.

Fringe benefits are excluded income of the employee.

The cost of providing a fringe benefit is deductible only if it meets the general permission and none of the general limitations apply. FBT itself is also deductible on this basis and is excluded from being a non-deductible ancillary tax by s [DB 1](#). FBT is deductible in the income year the fringe benefit was provided or granted, even though the tax may not be due and payable in that year. The tax is imposed on a quarterly, annual or income-year basis on the value of the fringe benefits provided by the employer during that period, with payment due by a specified date after the end of the period ([¶21-030](#)). Special valuation rules apply to determine the taxable value of fringe benefits to which FBT rates are applied. Employers have the option to calculate FBT using either the single rate or alternate rate methods.

Law: IT07 ss [CX 2](#), [CX 3](#), [DB 1](#), [RA 5\(1\)\(b\)](#)

Last reviewed on 31 December 2025

Form of fringe benefit [¶21-020]

[¶21-020]

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Fringe benefits come in many forms, including:

- # making available a motor vehicle for private use
- # an employment-related loan (including loans by a life insurer to a policyholder)
- # subsidised transport
- # contributions to a sickness, accident or death benefit fund
- # contributions to funeral trusts
- # any specified insurance premium
- # contributions to any insurance fund of a friendly society
- # any contribution to any superannuation scheme
- # any allowance paid in respect of a member of Parliament's travel, accommodation, attendance or communications services to the extent that such services are exempt from tax, or
- # any benefit of any other kind received by an employee.

Certain benefits are excluded from FBT ([¶21-555](#) to [¶21-665](#)).

Meaning of benefit

FBT is payable when a "benefit" is provided to an employee. Inland Revenue (IR) has released "Questions we've been asked" (QWBA) item "[The Meaning of 'Benefit' for FBT Purposes](#)". Briefly, the item states:

- # an employee does not need to have made a profit for a "benefit" to have been provided for FBT purposes
- # a "benefit" means what is received by an employee, without regard to any contribution made by the employee
- # a benefit is provided "in connection with the employment relationship" if the employment relationship is the reason for, or at least a substantial reason for, the provision of the benefit
- # whether a benefit for which market value is paid by an employee is "in connection with" an employment relationship depends on the facts in each case
- # whether a fringe benefit is provided does not depend on whether employees consider that they have received an advantage or benefit.

"Providing" a benefit

Fringe benefit tax arises when an employer has "provided" a fringe benefit to an employee. QWBA [QB 12/06](#): "Fringe benefit tax — 'Availability' benefits", which considered the meaning of "provided" in the context of goods and services (ie unclassified benefits), states the Commissioner's view of the FBT implications on the following situations:

- # For goods or services to be "provided" they must be supplied, furnished or made available for use by the employer. Whether the employees use the benefit is irrelevant.
- # However, the "mere availability" of goods or services that have not been provided will not be a fringe benefit. For example, when an employer gives employees the option of purchasing goods at a discounted price, fringe benefits arise when the employees take up the offer and purchase the discounted goods.
- # Where business assets may also be used by an employee for private purposes, no fringe benefit arises until the private use of the assets occurs.
- # Note different rules apply for the provision of motor vehicles ([¶21-175](#)) or business tools ([¶21-650](#)) to employees.

Law: IT07 s [CX 2\(1\)\(b\)](#)

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FBT — collection and returns [¶21-025]

[¶21-025]

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Fringe benefit tax is returned on a quarterly, income-year or annual basis. The quarterly basis is the default position unless employers meet the criteria for returning FBT on an annual or income-year basis.

Payment on quarterly basis

Every employer who provides a fringe benefit and pays FBT on a quarterly basis must file an FBT return within 20 days from the end of each quarter showing:

- # details of the benefits received or enjoyed by each of the employer's employees in a quarter, and
- # a calculation of the FBT payable on the taxable value of the fringe benefits.

FBT is payable on 20 July, 20 October and 20 January, for the 3-month periods (or quarters) ending 30 June, 30 September and 31 December, respectively. FBT for the quarter ended 31 March is payable on the 31 May following the end of that quarter. For example, the FBT return and any FBT payable for the quarter ended 31 March 2026 is due and payable on or before 31 May 2026.

If an employer stops employing staff and does not intend to replace them during the year, the final FBT return and any associated FBT payable are due at the end of 2 months immediately following the end of the quarter in which the employer stops employing staff. For example, if an employer ceases to employ staff on 25 July 2026 (September 2026 quarter), the final FBT return and FBT payable are due on or before 30 November 2026.

Payment on an income-year and annual basis

An employer can elect to pay FBT in respect of employees on an annual basis where the employer is a small business ([¶21-145](#)) or on an income-year basis where the employer is a close company and a small business providing benefits to shareholder-employees ([¶21-150](#)). Where an FBT return is made under the small business option, the return must be filed and the FBT paid by 31 May following the end of the relevant income year. If the employer has elected to pay FBT under the close company option, the employer will be liable to pay the total amount to the Commissioner no later than the terminal tax date of the employer for that income year.

Change in periods

If an employer who accounts for FBT under the close company option or the small business option fails to meet the relevant criteria for the use of those options, the employer must revert back to accounting for FBT on a quarterly basis (under the single rate option or the alternate rate option) from the beginning of the first day of the income year.

An employer who accounts for FBT on either of the above bases may at any time elect by notice in writing to pay FBT on a quarterly basis. Where an employer with an approved alternative balance date elects to change from a quarterly basis of accounting for FBT, transitional provisions will apply to the period between the last quarter payment and the first day of the income year. That period will be treated as if it were a separate quarter and FBT will be paid accordingly.

Returns online

FBT returns may be filed online using the myIR service. Filing online is optional. Some of the FBT calculations will also be done automatically if returns are filed online.

Law: IT07 ss [RA 15](#), [RD 60](#), [61](#), [62](#); TAA ss [46B](#), [46C](#), [46D](#)

Last reviewed on 31 December 2025

Employment relationship for FBT purposes [¶21-030]

[¶21-030]

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For a benefit to fall within the FBT provisions, it must be provided by an “employer” to an “employee” in connection with the employee’s “employment” (past, present or future).

“Employment” has a meaning corresponding to the meaning of “employee” and encompasses all activities carried on by an employee. An “employee” is a person who receives or is entitled to receive a PAYE income payment and an “employer” is a person who pays or is liable to pay a PAYE income payment. A “PAYE income payment” is a payment by way of salary, wages, an extra pay (bonuses, etc) or schedular payments (eg directors’ fees or payments to a commission agent or salesperson) (s [RD 3\(1\)](#) and [¶3-012](#)).

Excluded PAYE income payments

Certain types of PAYE income payments do not give rise to an employment relationship for fringe benefit purposes. These are payments to a working partner that are deductible by virtue of s [DC 4](#), payments to working owners that are deductible under s [DC 3B](#), main benefits, veterans’ pensions, New Zealand superannuation, parental leave payments, pre-term baby payments, any basic grant or independent circumstances grant made under s 645 of the Education and Training Act 2020 or an enactment substituted for that section, certain accident compensation earnings-related payments, and schedular payments referred to in Sch [4](#) pt [A](#), pt [I](#) and pt [W](#).

Law: IT07 ss [CX 2](#), [RD 25\(2\)](#), [YA 1](#) (“[employee](#)”, “[employer](#)”, “[employment](#)”)

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Employer defined for FBT purposes [¶21-040]

[¶21-040]

[Click to open document in a browser](#)

An “employer” is any person who pays or is liable to pay (whether in the past, present or future) a PAYE income payment apart from those PAYE income payments that are specifically excluded ([¶21-030](#)). The definition of “employer” also includes each partner in the case of a partnership, a look-through company (unless the owner is a working owner), the manager (or principal officer) in the case of an unincorporated body of persons, a trustee or company liquidator (ie when property is controlled or vested in a fiduciary capacity), and the Crown when it provides taxable benefits to any employee.

Law: IT07 s [YA 1](#) (“[employer](#)”)

Last reviewed on 31 December 2025

Employee defined for FBT purposes [¶21-050]

[¶21-050]

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An “employee” is any person who receives or is entitled to receive (whether in the past, present or future) a PAYE income payment apart from PAYE income payments that are specifically excluded ([¶21-030](#)). This definition allows FBT to be levied on benefits arising at the time an employee derives no PAYE income payments but which relate to a time when PAYE income payments were made. For example, if a retired bus driver is given a free bus pass, that pass is a fringe benefit that arises by virtue of past employment and FBT is payable. The definition also includes some self-employed taxpayers who may not regard themselves as employees.

Example:

Fast Eddie works as a sales agent for a company as an independent contractor. He is paid on commission. The company provides him with unrestricted use of a car and a cellphone. Fast Eddie is an employee for FBT purposes because he receives PAYE income payments in the form of schedular payments ([¶21-030](#)).

Example:

A taxpayer company paid directors' fees to its directors. The directors were, therefore, employees for FBT purposes and received a fringe benefit when they received low-interest loans. See *Roma Properties Ltd v C of IR* ([\(1998\) 18 NZTC 13,903 \(CA\)](#)).

A shareholder-employee of a close company may elect to opt out of the PAYE rules in relation to drawings taken from the company in anticipation of a salary being subsequently declared and such a shareholder-employee is subject to the FBT rules.

Law: IT07 s [YA 1](#) (“employee”)

Last reviewed on 31 December 2025

FBT — benefits provided by another party [¶21-060]

[¶21-060]

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When a benefit is provided by some other person under an “arrangement” with an employer, the employer is treated as having provided the benefit, and liability for FBT arises accordingly (s [CX 2\(2\)](#)). “Arrangement” means a contract, agreement, plan or understanding (whether or not enforceable) and all steps and transactions by which it is carried into effect. An example would be when benefits are provided by a parent company to employees of a subsidiary. In this case, the subsidiary employer company would be regarded as providing the benefit and would be liable for FBT.

In addition, s [CX 2\(5\)](#) provides that a benefit may be treated as being provided by an employer to an employee under s [GB 31](#), which deals with a tax avoidance arrangement (see below), and under s [GB 32](#), which deals with a benefit being provided to an associate of an employee ([¶21-080](#)).

Public ruling

In public binding ruling [BR Pub 14/10](#): “FBT — provision of benefits by third parties — s [CX 2\(2\)](#)”, IR states that s [CX 2\(2\)](#) of the Income Tax Act 2007 (IT07) will apply in the following situations:

- # consideration passes from the employer to the third party for the benefit being provided
- # the employer requests (other than merely initiating contact), instructs or directs the third party to provide a benefit
- # there is negotiation or discussion between the employer and the third party that (explicitly or implicitly) involves the threat or suggestion that the employer would withhold business or other benefits from the third party unless a benefit is provided to the employees, or
- # the third party and the employer are associated parties and there is a group policy (whether formal or informal) or any other agreement between the associated parties that employees of the group will be entitled to receive benefits from the other companies in the group.

The ruling also provides that s [CX 2\(2\)](#) will not apply where:

- # there is negotiation or discussion between the employer and the third party that results in no more than:
- # the employer granting the third party access to the premises or work environment to discuss the benefit with employees, and/or
- # agreement between the parties as to the level of benefit that is to be offered by the third party to employees, and/or
- # the employer agreeing to advertise or make known the availability of the benefit
- # the employer has done no more than initiate contact or discussions with the third party, or
- # there is no significant contact between the employer and the third party.

The ruling does not apply to arrangements where the remuneration given by an employer to an employee is reduced because a benefit has been received from the third party, or otherwise takes the receipt of a benefit provided by a third party into account (including salary sacrifice situations). There cannot be any trade-off between the benefits provided and the remuneration that would otherwise have been received by the employee, or any difference between the remuneration levels of employees who receive benefits and those who do not.

[BR Pub 14/10](#) applies for an indefinite period beginning on the first day of the 2014–15 income year.

Anti-avoidance provision

An arrangement under which persons attempt to alter their relationship so that there is no employment involved is countered by s [GB 31](#). This section can apply when avoidance is only one of the purposes of the

arrangement, so long as avoidance is not merely an incidental purpose. When taxpayers are involved in an FBT avoidance arrangement, the Commissioner can treat:

- # a party to the arrangement as the employer
- # the recipient of the benefit as the employee, and
- # the benefit being passed from the deemed employer to the deemed employee (or what would have been the benefit had the arrangement not been entered into) as being provided by virtue of the employment of the deemed employee.

FBT will apply accordingly throughout the period(s) during which the arrangement is in force ([¶21-130](#)).

Law: IT07 ss [CX 2\(2\)](#), [\(5\)](#), [GB 31](#), [YA 1](#) ("arrangement")

Last reviewed on 31 December 2025

Fringe benefits provided to shareholder-employees or group investment fund investors [¶21-070]

[¶21-070]

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Any non-cash benefit provided or granted by a corporate employer to a shareholder-employee is treated as having been received by that shareholder-employee in their capacity as an employee unless the company elects to treat the benefit as a dividend (see below). If the company does not elect for the benefit to be treated as a dividend, the FBT rules apply.

In similar terms, where a non-cash benefit is granted by the trustee of a group investment fund to an employee and investor in the fund, the benefit is treated as having been received by the employee and investor in their capacity as an employee unless the trustee of the group investment fund elects to treat the benefit as a dividend.

An exception applies in respect of non-executive company directors. In such a case, any non-cash benefit (which would otherwise be subject to FBT) is treated as having been derived in that employee's capacity as a shareholder of the company and, as such, is taxable to that person as a dividend (ss [CD 20\(2\)](#), [CX 17\(3\)](#) and [¶16-585](#)).

Election criteria

A company or trustee of a group investment fund that provides a non-cash benefit to an employee who holds shares in the company or who is an investor in the fund may elect to treat the benefit as a fringe benefit or a dividend. This only applies if the benefit would:

- # if not for s [CD 32](#), be a dividend under s [CD 4](#) if provided to the person in their capacity as a shareholder, and
- # if not for s [CX 4](#), be an unclassified benefit if it was provided to the person in their capacity as an employee.

Where the company or trustee elects to treat the benefit as a fringe benefit, they must give notice to IR of their election within the time allowed for filing an FBT return for the period in which the benefit was provided (s [CX 17\(5\)](#)). In this situation the FBT rules will not apply.

If the company or trustee makes no election, the benefit is treated as a fringe benefit.

There is no option to elect in respect of benefits provided to non-executive directors.

Where the non-cash benefit provided to a shareholder in a company is subject to the mixed-use asset rules ([¶10-035](#)) the company must elect to treat the benefit as a dividend.

Exclusion for close companies and motor vehicle benefits

From 1 April 2017, s [CX 17\(4B\)](#) provides an exclusion for close companies for motor vehicle benefits provided to a shareholder-employee where the close company has elected to apply the motor vehicle expenditure rules in subpart [DE](#) ([¶10-710](#)) instead of the FBT rules. Where that election is made, the benefit will be neither a fringe benefit nor a dividend and a debit entry to the shareholder current account should be made for the value of the motor vehicle expenditure that relates to the private use of the motor vehicle (*Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 70).

The exclusion only applies to close companies where the total fringe benefits provided to all employees in the income year are one or 2 motor vehicles.

The election only applies to new motor vehicle arrangements. Section [CX 17\(4C\)](#) provides that an election may be made for the income year that includes the day on which the close company acquires the motor

vehicle or first starts using it for business use. The election will continue to apply until the end of the income year that includes the earlier of the day the company stops using the motor vehicle for business use or the day the company disposes of it (s [CX 17\(4D\)](#)).

The close company must give notice to the Commissioner of the election in the time allowed for filing its return for the income year in which the election was made.

When a close company elects to use this option, a special interest allocation rule in s [DE 2\(1\)\(ab\)](#) ensures that any interest incurred on amounts used to fund directly or indirectly expenditure for the business use of a motor vehicle is included in the motor vehicle expenditure and subject to the rules in subpart [DE](#).

The following example demonstrates the application of this exclusion for a close company:

Example

Mary is the controlling shareholder of Mary's Home Interiors Ltd, which has a 31 March balance date. Mary's Home Interiors Ltd is a close company and Mary is the only employee. On 1 April 2017, the company provides Mary with a new vehicle for both business and unlimited private use. During the 2017–18 income year, it is expected that Mary's business use of the vehicle will be 60 percent and the total motor vehicle expenditure for the year is estimated to be \$4,250. This includes an amount of interest on the loan that the company used to finance the cost of acquiring the new vehicle. The cost price of the vehicle was \$40,000.

The company makes an election under amended section [CX 17\(4B\)](#) to use the motor vehicle expenditure rules in subpart [DE](#). The company will use the proportion of business use of the vehicle by Mary to apportion the motor vehicle expenditure. Mary maintains a logbook where she records details of her business use of the vehicle. This results in the business not claiming 40 percent of the total motor vehicle expenditure of \$4,250 (\$1,700).

At the end of the 2017–18 income year, a debit entry is made to Mary's shareholder current account for the value of the motor vehicle expenditure that relates to her private use of the motor vehicle.

If the company uses the logbook records to determine the percentage of intended use and actual use of the motor vehicle for GST purposes, no GST change of use adjustments should be required.

Example reproduced from *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 71.

Law: IT07 ss [CD 20](#), [CX 17](#), [CX 17\(4B\)](#), [DE 2\(1\)\(ab\)](#), [DG 2\(4\)](#)

Last reviewed on 31 December 2025

FBT — benefit to associated person of employee [¶21-080]

[¶21-080]

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Section [GB 32](#) provides that where a fringe benefit is provided by an employer to a person associated with the employee, the employee is treated as receiving the fringe benefit. There are 2 exceptions to this general rule. The first is where benefits are provided by a company to corporate associates of shareholder-employees. Where the benefit is not provided under an arrangement that has a purpose of providing the benefit in lieu of employment income or free from FBT, the benefit will not be subject to FBT, although it may be subject to the dividend regime.

The second exception is when benefits are provided by look-through companies, partnerships or limited partnerships and the person associated with the employee is an owner of the look-through company or a partner in the partnership or limited partnership.

Association with employee and shareholder

An intention of both the FBT rules and the dividend rules is to tax non-cash benefits when derived by associated persons. Conflicts arise when a person (other than a company) receives a non-cash benefit from a company and that person is not only associated with an employee of that company but is also associated with a shareholder of that company.

In those circumstances, s [CX 18](#) provides that when:

- # the benefit would be treated as a fringe benefit under s [GB 32](#), and
- # the benefit would be a dividend if provided to the shareholder,

the non-cash benefit is subject to the FBT rules and is treated as not being a dividend.

Example:

Virginia is an employee of Big Blouses Ltd, a company that makes shirts and other clothing. Her mother is the major shareholder. Her father often buys shirts from the company at staff discount (which is available to employees' families).

The discounted goods are subject to FBT. Virginia's father is associated with both an employee and a shareholder of the company. The discounted goods would be treated as a benefit provided to Virginia under s [GB 32\(3\)](#) and they would also be treated as a dividend if provided to Virginia's mother. Section [CX 18](#) provides that the FBT rules apply and the discounted goods are not a dividend.

Law: IT07 ss [CX 18](#), [GB 32](#)

Last reviewed on 31 December 2025

FBT and late payment penalties [¶21-090]

[¶21-090]

[Click to open document in a browser](#)

Any amount of FBT not paid by the due date attracts an initial penalty of 5%. This penalty is charged incrementally. A penalty of 1% is applied the day after the due date for unpaid tax and 4% is applied 7 days after the due date. An incremental monthly penalty of 1% applies on the amount of FBT outstanding, plus the initial late payment penalties, for each successive month until payment. Such late payment penalties are not deductible for income tax purposes (s [DB 1\(1\)](#)).

Taxpayers are notified the first time they make a late payment of tax. The late payment penalty will then only be imposed if the payment is not made within one month after the date of the notice. However, if the taxpayer makes other late payments within 2 years of the due date of the first late payment, the late payment penalty will be imposed as usual from the day after the due date.

The late filing penalty imposed by s [139A](#) of the Tax Administration Act 1994 (TAA) does not apply to FBT returns.

Law: TAA s [139B](#)

Last reviewed on 31 December 2025

FBT assessed by Commissioner [¶21-100]

[¶21-100]

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The Commissioner may make an assessment of the amount of FBT in respect of any quarter or any income year to be paid by any person chargeable with the tax. That person is then liable for the tax assessed unless the person establishes otherwise in proceedings challenging the assessment. This procedure may be used by the Commissioner if, for example, an employer fails to make a return or the Commissioner is dissatisfied with the return. The assessment procedure is the same as for income tax.

Law: TAA s [93](#)

Last reviewed on 31 December 2025

Deductibility of FBT [¶21-110]

[¶21-110]

[Click to open document in a browser](#)

FBT is deductible in the income year in which the employer provides or grants the benefit that gives rise to the tax. This will not necessarily be the same tax year as the tax year in which the employer pays FBT ([¶10-292](#)).

Employers with a non-standard balance date who pay FBT on a quarterly basis will find that they may have an FBT quarter that spans 2 tax years. In this case, the Commissioner's policy is that the FBT on benefits provided by the employer before the end of the earlier tax year is deductible in that earlier year and benefits provided in the later tax year are deductible in that year. Employers who pay FBT on an annual or income-year basis will deduct FBT in the tax year in which the employer provides the benefit to which the FBT relates (even if the FBT is not paid on that benefit until the next tax year) (*Tax Information Bulletin* [¶613-106 Vol 6, No 13](#), May 1995 at 10).

Allowing FBT to be deductible aligns the tax treatment with the deductibility of PAYE. The rate of FBT will ensure that the effective tax rate is that of the highest marginal tax rate applicable. For example, when the top marginal tax rate was 33%, the top FBT rate for attributed fringe benefits was 49.25%. With the increase of the top marginal tax rate to 39%, the top FBT rate was increased to 63.93%.

Law: IT07 s [EF 1](#)

Last reviewed on 31 December 2025

Fringe benefits and goods and services tax [¶21-115]

[¶21-115]

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The supply of a fringe benefit is deemed to be a supply of goods and services, so a GST-registered employer is generally liable for GST output tax on fringe benefits provided to employees. There is no deemed supply for GST purposes if:

- # the employee paid an amount for the receipt or enjoyment of the fringe benefit
- # the fringe benefit arose by virtue of an exempt supply
- # the fringe benefit arose by virtue of a zero-rated supply, or
- # the fringe benefit is, or is deemed to be, provided or granted by a registered person in the course of making exempt supplies.

Time of supply

The time of supply is the time at which the fringe benefit is (or is deemed to be) provided or granted (s [21\(1\)–\(3\)](#) of the Goods and Services Tax Act 1985 (GST Act)).

GST-registered employers must include and pay the GST on fringe benefits with their FBT return. This GST payment is treated as a payment of FBT for the purposes of filing the FBT return and Pts [4A](#) (disputes procedures), [6](#) (assessments), [7](#) (interest), [9](#) (penalties), [10](#) (recoveries) and [11](#) (remission, relief, and refunds) of the TAA.

Consideration for the supply

The consideration for the supply of a fringe benefit for GST purposes is deemed to be the taxable value of the fringe benefit, as determined under the FBT rules in the IT07. The taxable value of a fringe benefit under the FBT rules is inclusive of GST if the GST-registered employer can claim an input tax credit for the benefit provided. Low-interest loans and the provision of accommodation are exempt from GST, so the FBT value of such items is GST-exclusive.

The provisions applying to subsidised transport, superannuation scheme contributions and goods and services stipulate that FBT is calculated on a GST-inclusive basis.

Deductible

GST on fringe benefits is deductible for income tax purposes to the extent that the person is allowed a deduction for expenditure incurred in acquiring or producing the goods or services or they are allowed a deduction for an amount of depreciation loss for the goods or services.

Law: IT07 ss [DB 2\(2\)](#), [RD 33\(4\)](#), [RD 37\(2\)](#), [RD 40\(3\)](#), [RD 41\(4\)](#); GST Act ss [10\(7\)](#), [21\(1\)–\(3\)](#), [23A](#)

Last reviewed on 31 December 2025

FBT and entertainment [¶21-120]

[¶21-120]

[Click to open document in a browser](#)

Entertainment specified in s [DD 2](#) is subject to FBT if:

- # the employee can choose when to enjoy the benefit or the benefit is enjoyed outside New Zealand, and
- # the benefit is not received or used in the course of, or as a necessary consequence of, the employee's employment duties.

Examples: Entertainment provided to employees

FBT is payable on the value of a meal voucher awarded to an employee as part of an incentive scheme. The meal can be enjoyed at the employee's discretion and it is not enjoyed in the course of the employee's employment duties.

An all-expenses paid trip, staying in a time-share resort in Hawaii, is offered as a sales incentive to staff who achieve certain targets. The cost of the trip is subject to FBT because the benefit is enjoyed outside New Zealand and is not enjoyed in the course of employment duties.

A sales representative travels to Napier, where she takes a client out for dinner. The business contact is a guest, therefore the cost of both meals is 50% deductible. FBT is not payable in this instance so long as the benefit is consumed or engaged as part of the sales representative's employment duties.

Examples reproduced from *Tax Information Bulletin* [¶612-115 Vol 6, No 12](#), May 1995 at 18–19.

Law: IT07 ss [CX 29](#), [DD 2](#)

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FBT — employer who stops employing or providing fringe benefits [¶21-125]

[¶21-125]

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Employers who stop employing staff and do not intend to replace them during the tax year must calculate FBT for the quarter in which they stop employing. Employers in this situation may apply one of the alternate rate calculations to the fringe benefits provided or pay FBT at 63.93%. If the single rate option is chosen, employers must calculate the FBT payable for the period from the start of the tax year to the date on which the employer stops employing staff. The final amount of FBT payable is determined by deducting any earlier payments made. If the alternate rate calculation is chosen, the quarter in which the employer stops employing is treated as a final quarter. The employer may choose between the full alternate rate, short form or pooled alternate rate options.

This does not apply if benefits continue to be provided to former employees.

The due date for filing of the final return and payment of FBT is 2 months after the end of the quarter in which the employer stops employing staff. For example, if an employer ceases to employ staff on 25 July 2026 (September 2026 quarter), the final FBT return and FBT payable are due on or before 30 November 2026.

A return is required even if an employer has not provided or granted any fringe benefits during the relevant quarter. A “nil return” is filed for these quarters.

IR’s “Fringe benefit tax guide”, [IR 409](#), June 2025 provides guidance for employers who do not provide or do not intend to provide fringe benefits but still employ staff. Employers who have provided fringe benefits in any of the first 3 quarters but have since ceased to provide fringe benefits permanently must file quarterly returns up to and including the fourth quarter. They must notify IR that the fourth quarter return is the final return either by writing “final return” on the [IR420](#), or via myIR, or by telephone (pp 7 and 30 of the IR guide).

Law: IT07 s [RD 63](#); TAA s [46B\(6\)](#)

Last reviewed on 31 December 2025

FBT — anti-avoidance adjustment [¶21-130]

[¶21-130]

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If an arrangement is void under the general anti-avoidance provision in s [BG 1 \(¶33-010\)](#) and the arrangement involves altering the incidence of FBT, the Commissioner may adjust the amount of fringe benefit (ie excluded income) received by a person affected by the arrangement to counteract any tax advantage obtained by that person. When determining the amount of any adjustment, the Commissioner may have regard to the amount of fringe benefit that the person affected would have had if the arrangement had not been made. The Commissioner may also have regard to the amount of fringe benefit that the affected person would have had if that person had been allowed to have some or all of the benefits that have been derived by any other person under the arrangement. Income that arises as a result of an adjustment under s [GA 2](#) is income only of the affected person.

Law: IT07 s [GA 2](#)

Last reviewed on 31 December 2025

Methods of calculating and paying FBT [¶21-135]

[¶21-135]

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Employers who provide fringe benefits have 3 methods by which FBT can be calculated and paid to IR. Using the single or alternate rate, these are:

- # the single or alternate rate options for quarterly filers ([¶21-140](#) and [¶21-155](#) to [¶21-165](#))
- # the close company option for close company employers in respect of fringe benefits provided to shareholder-employees ([¶21-150](#)), and
- # the small business option for small employers ([¶21-145](#)).

Certain criteria must be met to use the last 2 options listed above.

Election of single or alternate rate

An employer can use the single or alternate rate regardless of the method used to file FBT returns. An election is made by filing an FBT return stipulating the rate chosen. The election made to use the alternate rate option is irrevocable.

The general effect of the alternate rate option is that FBT is payable either at 63.93% or at a rate based upon the remuneration paid to the employee. If the alternate rate option is used, there are 3 possible variations to choose from, each resulting in different FBT liabilities. These are the long form, short form and pooled alternate rate options ([¶21-140](#)).

Employers paying on an annual or income-year basis must pay FBT applying the alternate rate option on a yearly basis ([¶21-160](#) and [¶21-165](#)) or pay at the rate of 63.93% (of the taxable value of fringe benefits provided for the year).

An employer who has paid FBT at 63.93% for the year may subsequently request the Commissioner to amend the FBT liability so that it is calculated under the alternate rate option (ie a retrospective election is made to apply the alternate rate option). This request, together with the necessary information, must be given to the Commissioner within 2 months of the date of the notice of assessment for FBT for the final quarter or income year.

Last reviewed on 31 December 2025

Quarterly filing for FBT [¶21-140]

[¶21-140]

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Employers are usually required to file FBT returns on a quarterly basis unless they qualify for and elect to use the small business option ([¶21-145](#)) or the close company option ([¶21-150](#)). Quarterly filers have 2 options to calculate their FBT liability in quarters 1 to 3:

- # 63.93% single rate, or
- # 49.25% alternate rate.

Single rate option

Under the single rate option, employers pay FBT at a rate of 63.93% of the taxable value of fringe benefits provided to employees in all 4 quarters. This is the most administratively easy option, but it can result in overpayment if employees earn less than \$180,000 a year. The rate of 63.93% is a “gross-up” of the top personal marginal tax rate of 39%. Employers using the single rate option can still choose to do the alternate rate calculation for the final quarter.

Alternate rate option

Under the alternate rate option, employers can choose to pay FBT at the rate of 63.93% or 49.25% of the taxable value of fringe benefits provided to employees in the first 3 quarters. If the entity has elected and paid FBT using the alternate rate option in any of the first 3 quarters, it must complete the alternate rate calculation option in the fourth (and final) quarter. FBT paid in the first 3 quarters is then subtracted from the fourth quarter calculation to arrive at the amount payable.

Full alternate rate calculation

For the fourth (and final) quarter, a detailed calculation is required to determine the amount of FBT payable. This is like a square-up calculation and requires fringe benefits to be attributed to particular employees ([¶21-155](#) and [¶21-165](#)).

Short form alternate rate calculation

As an alternative to performing a full alternative rate calculation, the highest rate of 63.93% can be applied to all attributed fringe benefits ([¶21-155](#)).

FBT paid in the first 3 quarters is then subtracted from the fourth quarter calculation to arrive at the amount payable.

Pooled alternate rate option

A further option for the fourth quarter, as an alternative to the full alternate rate calculation, is to use the pooled alternate rate option (from the 2021–22 income year). The pooled alternate rate option is available to quarterly filers, as well as those employers using the small business and close company options.

Under this option, employers can apply a rate of 49.25% on attributed benefits provided to an employee if all of the following applies:

- # the taxable value of all fringe benefits provided to the employee is \$13,400 or less, and
- # the cash pay of the employee is \$160,000 or less.

For each employee that does not meet the monetary thresholds outlined above, the rate of 63.93% must generally be used for attributed benefits. However, the employer may elect to use the 49.25% rate on

attributed benefits if the employee's all-inclusive pay ([¶121-165](#)) does not exceed \$129,681. To this end, 2 pools may need to be created for attributed benefits, one for the 63.93% rate and another for the 49.25% rate.

FBT paid in the first 3 quarters is then subtracted from the fourth quarter calculation to arrive at the amount payable.

Note: A retrospective amendment contained in the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill will change the threshold for all-inclusive pay (\$129,681) discussed above to \$130,724. The change is expected to apply from the 2025–26 and later income years.

Law: IT07 ss [RD 50](#), [RD 58](#), [RD 59](#); TAA s [46B](#)

Last reviewed on 31 December 2025

Small business option for calculating FBT [¶21-145]

[¶21-145]

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Certain employers can elect to furnish FBT returns on an annual basis. Employers are eligible for this where their gross amounts of PAYE and employer's superannuation contributions tax in the preceding tax year did not exceed \$1 million or where they were not employers in the preceding tax year. In the case of an employer ceasing business and beginning a new one, or operating 2 or more businesses, the gross amounts of PAYE and employer's superannuation contributions tax will be aggregated for the purposes of calculating the employer's eligibility.

If an eligible employer wishes to take advantage of the annual basis, the employer must elect to do so. The Commissioner must be informed of the election. This election must state the first year to which the election is to apply. For existing employers at 1 April (in any year) the Commissioner must be informed by 30 June in the year in which the election is first to apply. For new employers, the Commissioner must be informed no later than the last day of the calendar quarter in which the employer first became an employer of employees (other than shareholder-employees).

Payment and returns

Once a valid election has been made, an employer will apply FBT on an annual basis in respect of the employer's employees. The calculation of FBT will be made as if the fringe benefits were provided in the 4 consecutive quarters that comprise that year. The return must be forwarded to the Commissioner no later than 31 May following the end of the year to which the FBT return relates. The return must be in a prescribed form (form [IR 422](#)) and set out the FBT payable on the taxable value of fringe benefits received or enjoyed by each employee (excluding shareholder-employees) in that year.

Employers can either pay FBT at the single rate of 63.93% or use one of the alternate rate methods for attributed benefits ([¶21-140](#)).

Law: IT07 s [RD 61](#); TAA s [46C](#)

Last reviewed on 31 December 2025

Close company option for calculating FBT [¶21-150]

[¶21-150]

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An employer that is a close company that provides fringe benefits to shareholder-employees may elect to pay FBT on an income-year basis, provided that one of the following specific criteria in s [RD 60](#) is satisfied for the preceding income year:

- # the employer's gross amounts of PAYE and employer's superannuation contribution tax for the tax year did not exceed \$1 million, or
- # the only fringe benefit provided was the private use of a motor vehicle, and it was limited to making one or 2 vehicles available to shareholder-employees for their private use, or
- # the employer did not employ any employees.

The term "shareholder-employee" has been given a special meaning for the purposes of the FBT regime. Broadly, it means a shareholder-employee of a close company who receives payments subject to ss [RD 3B](#) and [RD 3C](#) ([¶3-012](#)).

Election and returns

Where the employer is an existing employer, they must inform the Commissioner of their decision no later than the last day of the calendar quarter in which the income year of election begins. If the employer has an early balance date, the \$1 million threshold for gross amounts of PAYE and employer's superannuation contribution tax is adjusted. Where the employer is not an employer in the preceding year, the Commissioner must be informed no later than the last day of the calendar quarter in which that employer first became an employer.

If an employer who chooses to pay FBT on an income-year basis has, before the election is made, been paying FBT on a quarterly basis, an FBT calculation must be made for the transitional period. This period will begin from the end of the last full tax year for which FBT is paid on a quarterly basis and end on the day before the beginning of the first income year for which the election applies (s [RD 62\(5\)](#)). This calculation is completed as if it is the FBT return for a final quarter. The transitional calculation will be included in the employer's FBT return due on 31 May (s [RD 60\(5\)](#)).

Where an election has been made to account on an income-year basis, an employer is required to furnish a return by the terminal tax date for that year in respect of the income year to which the FBT return relates. FBT liability will also be due on the same terminal tax date.

Employers can either pay FBT at the rate of 63.93% or use one of the alternate rate methods for attributed benefits ([¶21-140](#)).

Note that the motor vehicle expenditure rules in subpart [DE](#) have been extended to allow close companies to use the rules as an alternative to paying FBT on a motor vehicle benefit provided to shareholder-employees. This will mean that some close companies will not have to register for and pay FBT simply because of the provision of a motor vehicle to one or 2 employees ([¶21-070](#)).

Law: IT07 ss [RA 15](#), [RD 3B](#), [RD 3C](#), [RD 60](#), [RD 62\(5\)](#); TAA s [46C](#)

Last reviewed on 31 December 2025

Attributed fringe benefits [¶21-155]

[¶21-155]

[Click to open document in a browser](#)

Under the alternate rate calculation, employers must attribute certain fringe benefits to employees and calculate FBT based on the level of their remuneration. The following types of fringe benefits must be attributed to each employee to whom the benefit is provided or granted:

- # making available a motor vehicle for private use
- # employee loans (excluding loans owing to life insurers)
- # benefits with a total taxable value of \$1,000 or more per category per year per employee, where the benefits are:
 - # the provision of subsidised transport (see exception below)
 - # contributions to any sickness, accident or death benefit fund
 - # contributions to an employer fund meeting the circumstances described in s [CW 45](#) (Funeral trusts) ([¶24-134](#))
 - # payments of specified insurance premiums or contributions to any insurance fund of a friendly society, or
 - # contributions to any superannuation scheme (except employers cash contributions) ([¶21-540](#) and [¶21-574](#)).

- (each of these is treated as a separate category), and
- # any unclassified benefit provided with a taxable value of \$2,000 or more per year per employee.

If any of the above fringe benefits are provided or granted to more than one employee, the employer must attribute the benefit to the employee who principally uses, enjoys or receives the benefit during the quarter or income year. If the benefit is the availability of a motor vehicle for the employee's private use, this benefit must be attributed to the employee to whom the vehicle is principally made available for such use during the quarter or income year. Where the principal employee cannot be determined, the benefit must be pooled ([¶21-160](#)).

Benefits excluding motor vehicles and employee loans

With respect to the last 2 types of attributed benefits set out above, the taxable value of which is less than \$1,000 or \$2,000, as the case may be, the employer must either:

- # attribute these benefits to all employees receiving them, or
- # pool them ([¶21-160](#)).

If the first option is chosen, all the fringe benefits provided within that category which have an annual taxable value of less than \$1,000 or \$2,000, as the case may be, must be attributed to all employees receiving those benefits.

Example:

Employer Co has paid gym membership fees for employees 1, 2 and 3 during the 20X2–X3 tax year. The fees paid are \$500 each (a total of \$1,500). As the taxable value of this category of benefit provided is less than \$2,000 for the year (no “other” benefits are provided), Employer Co has the option of either attributing this to each employee, or pooling the benefit. If Employer Co wishes to attribute the fees paid, it must do so for each of employees 1, 2 and 3.

The thresholds of \$1,000 or \$2,000 may be amended by regulation.

Subsidised transport

A special rule is provided for the provision of subsidised transport with a taxable value of \$1,000 or more per year. If all of the employer's employees have the same or similar entitlement to the subsidised transport, the employer *may* pool this particular category of fringe benefit.

Law: IT07 ss [RD 47–RD 49](#)

Last reviewed on 31 December 2025

Non-attributed fringe benefits [¶21-160]

[¶21-160]

[Click to open document in a browser](#)

Fringe benefits that are not attributed to employees must be pooled and, for the final quarter, different rates of FBT applied to 2 different pools. Two separate pools must therefore be made: one for benefits provided to employees who are major shareholders or their associates (if the associate does not receive the fringe benefit as an employee of the employer), and the other for employees who are not major shareholders. FBT is then calculated at 63.93% for the first pool (employees who are major shareholders) and 49.25% for the second pool (employees who are not major shareholders).

Non-attributed fringe benefits that must be pooled

The following non-attributed fringe benefits must be pooled:

- # Fringe benefits with a total taxable value of less than \$1,000 per category per year which have not been attributed to a particular employee, being benefits of the following type:
 - # subsidised transport ([¶21-440](#))
 - # contribution to any sickness, accident or death benefit fund ([¶21-540](#))
 - # contributions to a funeral expenses fund meeting the circumstances described in s [CW 45](#) (Funeral trusts) ([¶24-134](#))
 - # payment of any specified insurance premium or any contribution to any insurance fund of a friendly society ([¶21-535](#)), or
 - # contribution to any superannuation scheme (except employers cash contributions). See [¶21-540](#) and [¶21-574](#).
- # Other fringe benefits with a taxable value of less than \$2,000 per year which have not been attributed to a particular employee.
- # If elected by the employer, the provision of subsidised transport with a value of \$1,000 or more per year, where all of the employees have the same or similar entitlement to the subsidised transport.
- # Benefits that cannot be attributed to a particular employee.
- # Benefits provided or granted to a former employee.
- # Loans owing to life insurers.

Note: A proposed amendment contained in the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill will allow employers the option to pool insurance benefits provided to employees under a global insurance policy. A global policy is one where a single premium is payable that covers a number of employees. Employers will have the option to divide the total premium by the number of employees or treat the premium as a pooled benefit provided that all employees have the same or similar entitlement to the benefit. The amendment is intended to apply to benefits provided on or after 1 April 2026.

Law: IT07 s [RD 53](#)

Last reviewed on 31 December 2025

Alternate rate calculation for attributed fringe benefits [¶21-165]

[¶21-165]

[Click to open document in a browser](#)

An employer who attributes a fringe benefit to an employee must calculate FBT in accordance with the formula (“full” alternate rate calculation) under s [RD 50](#).

Alternatively, an employer may pay FBT on attributed benefits at the single rate of 63.93%. This avoids having to do the full alternate rate calculation. This is sometimes referred to as the “short form” alternate rate calculation ([¶21-135](#)). This method will appeal for those employers who predominantly provide attributed benefits to employees who earn more than \$180,000 gross equivalent.

A further alternative to the full alternate rate calculation applies from the 2021–22 income year — the pooled alternate rate option ([¶21-140](#)). This method will suit employers who provide benefits to employees that are subject to the 49.25% flat rate, and benefits attributed to employees earning above either of the safe harbour thresholds and subject to the 63.93% rate.

Attribution formula applicable from 1 April 2024

The formula for calculating the employer’s FBT liability on attributed benefits using the full alternate rate option from 1 April 2024 is (s [RD 50](#)):

$$\text{tax on all-inclusive pay} - \text{FBT on net cash pay}$$

where:

tax on all-inclusive pay is the amount obtained by applying the rates in [Sch 1 pt C](#), table 1 to the employee’s all-inclusive pay, and

FBT on net cash pay is the amount determined at the rate set out in [Sch 1 pt C](#), table 1 on the amount of the employee’s net cash pay calculated using the formula in s [RD 50\(3B\)](#).

The formula for calculating **net cash pay** is (s [RD 50\(3B\)](#)):

$$\text{cash pay} - \text{tax on cash pay}$$

See detailed discussion below for calculating net cash pay for employees and major shareholder-employees.

All-inclusive pay

Every employer who attributes a fringe benefit and applies the alternate rate method must calculate the all-inclusive pay for each employee. The formula for this calculation differs depending on whether the employee is a major shareholder. Briefly, a “major shareholder” is defined as any person who owns, or has in any way the power to control, or the right to acquire, 10% or more of the ordinary shares or voting interests of the company, including any person with 10% or more of the control of the company by any other means.

The calculations are as follows (s [RD 51](#)):

For an employee who is not a major shareholder (s [RD 51\(4\)](#)):

$$\text{cash pay} \# \quad \text{tax on cash pay} \quad + \text{taxable value of all fringe benefits}$$

where:

cash pay is generally the cash paid to, credited to or applied on account of the employee by the employer or a related employer during the year. The definition excludes the taxable value of any fringe benefits provided or granted

tax on cash pay is generally the tax on the cash pay calculated at the employee’s marginal tax rate

taxable value of all fringe benefits is the taxable value of all fringe benefits attributed to the employee in the tax year.

For an employee who is a major shareholder (s [RD 51\(3\)](#)):

cash pay # tax on cash pay + taxable value of all fringe benefits

where:

cash pay is the cash paid to, credited to or applied on account of the employee by the employer or a related employer, plus dividends and interest derived from the employer or a related employer (if the related employer is the one who pays or credits the remuneration or who applies the remuneration on account of the employee)

tax on cash pay is generally the tax on the cash pay calculated at the employee's marginal tax rate

taxable value of all fringe benefits is generally the taxable value of all fringe benefits attributed to the employee and their associate (if the associate does not receive the benefit as an employee of the employer) in the income year.

In both definitions of "cash pay":

an employer is a related employer if it is a branch or division, or an associated person, and

the term "pay" means:

salary or wages

salary, wages or income derived by a shareholder-employee of a close company other than from PAYE income payments

an amount attributed in accordance with the income attribution rules

extra pays, and

schedular payments.

The tax on cash pay is calculated as if the cash pay as defined (ie including remuneration from a related employer) is the only taxable income received by the employee.

The main differences in the 2 formulas are that the FBT calculation for an employee who is a major shareholder includes dividends and interest derived from the employer, and fringe benefits provided to associated persons. The FBT calculation for other employees does not.

Example:

Abby earns a salary of \$14,000 and receives a fringe benefit that has a taxable value of \$10,000 in the 2024–25 tax year.

Abby's employer's FBT liability for the tax year using the new formula (ie tax on all-inclusive pay – FBT on net cash pay) will be:

$\$3,590.77 \# \$1,469.77 = \$2,121.00$

Where:

\$12,530 is the net cash pay, ie, salary less the personal income tax payable on the salary \$14,000 – (\$14,000 x 10.5%) = \$12,530

\$3,590.77 is the tax on all-inclusive pay, ie, amount of FBT payable on the sum of the net cash pay (\$12,530) and value of the fringe benefit (\$10,000), and

\$1,469.77 is the FBT payable on net cash pay (\$12,530).

Example from *Tax Information Bulletin* [1367-107 Vol 36, No 7](#), August 2024 at 6.

Attribution formula applicable prior to 1 April 2024

The formula for calculating the employer's FBT liability on attributed benefits using the full alternate rate option prior to 1 April 2024 was (former s [RD 50](#)):

tax on all-inclusive pay # tax on cash pay

where:

tax on all-inclusive pay is the amount obtained by applying the rates in [Sch 1 pt C](#), table 1 to the employee's all-inclusive pay, and

tax on cash pay is the amount calculated in accordance with s [RD 51\(3\)\(b\)](#) or [\(4\)\(b\)](#).

For an example of the application of the above formula, see CCH, *New Zealand Master Tax Guide 2025*, [¶21-165](#).

Attributed benefits provided to shareholder-employees or employees receiving attributed income

For quarterly or annual filers who, at the time of filing their returns, do not have sufficient information to make the alternate rate calculation, there is a special rule in s [RD 52](#) for calculating the FBT on benefits attributed to shareholder-employees of close companies receiving non-PAYE income, deducted income or attributed income under the income attribution rules.

In this case, the employer may do either of the following:

pay FBT on attributed benefits at 49.25% and carry out the alternate rate calculation in relation to those benefits in the following tax year, or

pay FBT on attributed benefits at 63.93%, in which case no subsequent calculation is required.

If the first option is chosen, FBT payable at the rate of 49.25% is deducted from the result of the alternate rate calculation formula in s [RD 50](#).

Section [RD 51\(5\)](#) specifically provides that, for the purpose of the alternate rate calculation, the non-PAYE income, payment income or attributed income is treated as the employee's cash pay in the year after the year in which the amount was received or attributed. For example, income attributed in the 2023–24 income year is included in the employee's cash pay in the 2024–25 tax year.

Clear and complete records must be kept in order for the FBT to be calculated correctly. Maintaining the records during the year will save much time at the end of the year when the final calculation must be made and the return filed (also see [IR 409](#)).

Law: IT07 ss [RD 50–RD 52](#), [YA 1](#) ("major shareholder"), [Sch 1 pt C](#)

Last reviewed on 31 December 2025

FBT — motor vehicles and employees [¶21-170]

[¶21-170]

[Click to open document in a browser](#)

A fringe benefit exists where an employee has the benefit of a motor vehicle that is made available for the employee's private use and the motor vehicle is owned, leased or rented by the person who makes the vehicle available to the employee. A fringe benefit also exists when a vehicle is made available for an employee's private use and the person who makes the vehicle available to the employee has a right to use the vehicle under an agreement or arrangement with the employee or an associated person of the employee.

This means that "nine-to-five" or business leases are no longer effective for FBT purposes. If the vehicle is provided by another person (a third party) under an arrangement with the employer, it is generally treated as having been provided by the employer. A "motor vehicle", for the purposes of FBT, has the same meaning as in s 2(1) of the Transport Act 1998 and includes most motor cycles, mopeds, cars, station wagons, vans and light trucks, but does not include any vehicle with a gross laden weight exceeding 3,500 kg. Effectively, this means that an employer making available a motor vehicle with a gross laden weight of less than 3,500 kg, whether it is owned, leased or rented by the employer, for the private use of an employee (including travel between home and work), is liable for FBT ([¶21-175](#)).

Law: IT07 ss [CX 2\(1\)\(b\)\(i\)](#), [\(2\)](#), [CX 6\(1\)](#), [YA 1](#) ("motor vehicle")

Last reviewed on 31 December 2025

Fringe benefit — availability for private use of vehicle [¶21-175]

[¶21-175]

[Click to open document in a browser](#)

A fringe benefit arises if a vehicle is made available to an employee for their private use.

The issue of whether a vehicle is “available” for private use has been discussed in decisions of the Taxation Review Authority. In both Case S26 ([1995](#)) 17 NZTC 7,182 and Case T38 ([1997](#)) 18 NZTC 8,255 (confirmed on appeal in *C of IR v Yes Accounting Services Ltd* ([1999](#)) 19 NZTC 15,296), the Authority concluded that a vehicle cannot be available for private use if the employee is forbidden to so use it and does not, in fact, use it.

Example:

Two company cars were used by the husband and wife shareholder-employees who had a home office in addition to factory premises. The cars had to be kept at home for insurance purposes. The husband and wife had no private car of their own, so they used the company vehicles as and when necessary for private transport. The Taxation Review Authority held that FBT was payable in respect of both vehicles because they were available at all times for private use. See Case R37 ([1994](#)) 16 NZTC 6,208.

Example:

The sole shareholder-employee of a company entered into a lease agreement in which the car he owned was leased to the company. He argued that the company was entitled to use the car only during the hours specified in the lease (ie business hours). The shareholder's private use of the car outside those hours was, he submitted, in his capacity as owner of the car and not as employee of the company. The Taxation Review Authority rejected the argument and held that the car was, in fact, available for the shareholder-employee's private use, so the company was liable for FBT. See Case T39 ([1997](#)) 18 NZTC 8,261.

Interpretation statement on motor vehicles

In Interpretation Statement [IS 17/07](#): “Fringe benefit tax — motor vehicles”, August 2017, the IR states that a motor vehicle is made available when an employer provides access to the vehicle and the employee has permission to use it. A motor vehicle is not available to a particular employee if it is being used by another person or if the employer has not supplied the means to operate it (for example, the employee does not have the keys to the vehicle).

Example:

An IT Industry Conference is being held in Sydney. Company X decides to send 2 shareholder-employees, Chris and Veri, to the conference. Chris drives them both to the airport and parks his car there. They leave on Tuesday, the day before the conference. They attend the conference on Wednesday, Thursday and Friday, before departing late Friday night and returning to New Zealand early Saturday morning.

As Company X has required Chris to attend the business-related conference, the company has withdrawn Chris's access to the vehicle for the 3 full days that Chris and Veri are in Sydney. Company X will still need to account for FBT on Tuesday (the day of departure) and on Saturday (the day Chris and Veri arrive back in New Zealand). This is because Chris still has access and permission to use the vehicle on Tuesday and Saturday (he is not subject to a private use restriction). Therefore, only the 3 intervening days (Wednesday, Thursday and Friday) are exempt from FBT.

Example adapted from Interpretation Statement [IS 17/07](#): “Fringe Benefit Tax — Motor Vehicles”.

IR's view on restricted private use by shareholder-employees is set out at [¶21-245](#).

The existence of a fringe benefit in the form of the availability for private use of a motor vehicle is determined on a daily basis (Case P26 ([1992](#)) 14 NZTC 4,196 and [¶21-255](#)). If at any time during a day a vehicle is available, the fringe benefit exists for that day (subject to exemptions). The value of the benefit is then calculated based on the number of days during the quarter for which the fringe benefit arose. When a vehicle is used by or available to more than one employee on any day, there is only one fringe benefit in respect of that day.

There are 3 exclusions from the private use or enjoyment provision. These are work-related use ([¶21-180](#)), emergency calls ([¶21-230](#)) and regular business trips ([¶21-240](#)).

A fourth exclusion applies for motor vehicle benefits provided by close companies to shareholder-employees where the close company has elected to apply the motor vehicle expenditure rules in subpart [DE](#) instead of the FBT rules ([¶21-070](#)).

Interpretation statement on travel between home and work

The starting point is that an employee has the private use of a motor vehicle where an employee has a motor vehicle available to use by them. In practical terms, the next enquiry should be whether any of the exemptions apply to that use. Travel between work and home has always been subject to scrutiny.

Interpretation Statement [IS 25/02](#): “FBT — Travel by motor vehicle between home and work” sets out the criteria the Commissioner considers relevant in determining whether travel between home and work is work-related or business travel for deductibility purposes and for FBT purposes. Below is a discussion of the FBT aspects of the statement. For discussion of the deductibility of costs of travel by motor vehicle between work and home, see [¶10-710](#).

Briefly, the Commissioner’s views are:

- # For FBT purposes, travel will be work-related if:
 - # the private benefit received is incidental, or
 - # the private travel is a minor or insignificant proportion of the journey undertaken solely for work-related purposes.
 - # A motor vehicle provided by an employer for travel from one workplace to another in the course of performing employment duties will be work-related, even if one of the workplaces is also home.
 - # Travel from home to work to enable the employee to start work or from work to home is private use.
 - # There will be no fringe benefit unless a private benefit is provided.
 - # No private benefit arises from travel between home and work if the home is also used as a workplace.
 - # In determining whether or not a home is a workplace, the court has considered the following factors (see *C of IR v Schick* [\(1998\) 18 NZTC 13,738](#)):
 - # whether there are sound business reasons for operating from home
 - # whether significant business activity actually occurs at home
 - # whether there is significant storage of business goods or equipment at home
 - # whether significant space is set aside and used for business-related activities conducted at home, and
 - # whether the activities conducted at the home are closely integrated with the taxpayer’s business.

The Commissioner considers that these factors alone are not determinative. The nature of the work or employee’s duties must require that work is performed partly from home (this is an objective test). If the work is performed from home because of the employee’s personal circumstances or choice, the home will not be considered as a workplace and FBT will be payable on travel from home to work and vice versa. It will not be sufficient that the employer and employee have contracted on the basis that employment duties will be partly performed from the employee’s home.

Generally, if an arrangement is made for an employee to perform employment duties partly at the employee’s home solely because of the employee’s personal circumstances, such an arrangement merely recognises the employee’s personal circumstances and is not required by the nature of the employment duties.

Travel between a workplace at home and another workplace will be work-related travel only if the 2 workplaces relate to the same income-earning activity.

The fact that a vehicle is taken to an employee’s home for security reasons does not in itself make the journey work-related travel. However, this factor may be taken into account with other factors.

The statement also covers the 4 case law exceptions that can apply to travel between home and work in a motor vehicle that have been held to mean that the travel is not subject to FBT (at [40]). A review of these exceptions should take place after the analysis of the statutory exemptions, if none of those apply. The 4 exceptions set out in *FCT v Genys* (1987) 77 ALR 527 (FCA) at 531 are:

- # a vehicle is necessary to transport equipment or instruments that are essential to the employee's work between the employee's home and work
- # the employee's work is itinerant (ie the employee travels from place to place in the course of their work)
- # the employee responds to emergency calls at home and their responsibility for the outcome begins before they leave home
- # the employee's home is a workplace (or base of operations). Specific criteria need to be met for this exception to apply. It is not sufficient that the employee merely work from home. The employee must be required, by the nature of the work itself, to do work in 2 or more places. Personal choice to work from home is insufficient to create a basis of a home workplace.

The statement goes into detailed discussion on each of these case law exceptions. If the case law exceptions apply, the employee is treated as travelling for work purposes as soon as they leave home until they return home. The travel is not viewed as travel between work and home.

Taking an electric vehicle home for charging

In general, for use to be other than private use under the FBT rules, the travel must be undertaken solely and necessarily in the performance of the employee's employment duties. Transport of the employee must not make up any part of the journey's purpose and must be limited to an incidental flow-on consequence or effect of undertaking the journey. The Commissioner's view is that travel between work and home for the purpose of charging the EV will not be the sole purpose of the travel and the use of the vehicle will usually be subject to FBT.

Taking vehicles home for security reasons

The Commissioner's view is that taking a vehicle home for security reasons is insufficient to mean the travel does not confer a private benefit and the use is not private use for FBT purposes. Therefore, taking a motor vehicle home for security reasons will still be deemed to be conferring a private use and will be subject to FBT. In general, if private use of a motor vehicle has occurred that is not travel between work and home, FBT still applies to the whole day. The case law exceptions above are most relevant when there is a general restriction in place.

Law: IT07 ss [CX 6\(1\)](#), [CX 8](#), [CX 17\(4B\)–\(4D\)](#), [CX 36](#)

Last reviewed on 31 December 2025

Fringe benefit exclusion — work-related vehicle [¶21-180]

[¶21-180]

[Click to open document in a browser](#)

If for any day a “motor vehicle” qualifies as a “work-related vehicle”, there is no fringe benefit in respect of the vehicle for that day. A motor vehicle is a work-related vehicle on a particular day if it is not a car and has prominently and permanently displayed on the outside of the vehicle, the employer’s identification that is regularly used in carrying on the employer’s activity. If the vehicle is rented, the regular identification of either the employer or the person from whom the vehicle is rented may be displayed. A vehicle complying with these requirements is exempt as a work-related vehicle on any day on which the only private use (if any) obtained by an employee is in the form of travel to or from home that is necessary, and is a condition of, employment or other travel in the course of employment conferring only an incidental private benefit. Each exempt day is reflected in a reduction of the value of the fringe benefit attributable to the vehicle for the tax period in which that day falls.

Example:

An employee has the use of a work-related vehicle from Monday to Friday, during which she may use the vehicle only for business-related travel. She has a letter from her employer to that effect. At weekends, she is allowed to use the vehicle for her private use. The employer is entitled to a partial exemption from FBT for those days on which the vehicle is not available for private use.

Whether a vehicle is a “car” available for private use will depend on the facts of the relevant case.

Definition of car

A “car” is a motor vehicle designed exclusively or mainly to carry people and includes a motor vehicle that has rear doors or collapsible rear seats. A car does not include a minibus, moped, motor cycle or taxicab. If, however, a vehicle originally designed for passengers has been substantially altered so that it can no longer be used for the carriage of passengers, it would no longer be considered to be designed exclusively or mainly to carry people. If the seats in the motorcar have been permanently removed (or welded down), IR may accept that the vehicle is a work-related vehicle.

Example:

The vehicles in question were station wagons driven by Tisco service personnel to their homes at night and back to their employer’s premises in the morning. The Commissioner regarded the station wagons as motorcars within the definition of s 336N of the Income Tax Act 1976 (the FBT rules) and assessed them for FBT. The High Court held that the wagons were not motorcars within the meaning of the FBT legislation because they were not designed exclusively or principally for the carriage of persons. They were designed to carry goods as well. If the vehicle is designed equally for 2 purposes, neither one can be called the “principal” purpose. Barker J was at pains, however, to point out that the decision was based purely on the facts about this particular model of station wagon and that each case would be treated solely on its evidence. See *Tisco Ltd v C of IR* (1991) 13 NZTC 8,049.

Example:

Hatchback cars originally designed for passengers which were modified with a fitted plywood floor and company logo painted on the side were held to be work-related vehicles in *C of IR v Rag Doll Fashions (NZ) Ltd* (1995) 17 NZTC 12,104. The Commissioner originally appealed this decision but later withdrew the appeal. In *Tax Information Bulletin* ¶713-109 Vol 7, No 13, May 1996 at 19, the Commissioner states that the withdrawal of the appeal is not to be taken as IR’s acceptance that design alterations of such a (temporary) nature are sufficient to satisfy the work-related vehicle test. IR’s policy remains that alterations to the design of a car must be permanent in nature to satisfy the work-related vehicle test.

Employer’s name affixed to vehicle

The employer’s name must be prominently displayed by some permanent means on the outside of the vehicle (magnetic or removable signs are not sufficient; therefore, the displaying of the name on the cover

over the spare tyre of a 4-wheel-drive vehicle is insufficient). If the vehicle is leased, the name displayed may be that of the employer or the lessor. In either case, it is sufficient if a business logo, acronym or other similar identification is shown instead of a name.

Example:

A taxpayer operated a fleet of limousines available for public hire. His business card was displayed inside the windscreen of each vehicle, attached to the Ministry of Transport vehicle authority. The vehicle authority was a permanent sticker also showing the name of the business. The limousines were found to be not work-related vehicles. The notices, whether considered individually or collectively, had not been displayed prominently on the exterior of the vehicles. See Case J50 ([1987](#)) 9 NZTC 1,281.

Example:

Veri is a shareholder and managing director of Cross Wire Ltd (CWL). Instead of sign-writing a company motor vehicle, Veri wants to know if they could use the personalised number plate "XWIRES". The plate comes with a surround (or frame) that could be printed with the phone number and web address for CWL. Veri notes that plates could be easily and cheaply removed when the vehicle is eventually sold, while removing sign-writing for re-sale could be expensive.

Personal number plates do not satisfy the requirement of the employer's name being prominently displayed on the vehicle. The details of the business would be visible only from the front and back of the vehicle and only from up close. The details would not be readily seen or particularly noticeable. Further, "XWIRES" is not sufficient to identify the company as it is not the form of identification regularly used by CWL in carrying on its business.

Example adapted from Interpretation Statement [IS 17/07](#): "Fringe Benefit Tax — Motor Vehicles".

Records required

When an employer claims that a motor vehicle is a work-related vehicle, IR requires that certain records be kept ([IR 409](#), June 2025 at 15). These records include: a copy of advice to the employee stating that the vehicle is not available for any private use other than travel to or from home as a condition of employment or other private use that may arise incidentally during the course of employment, a record of periodic checks undertaken by the employer that the vehicle is not used privately by the employee, and a description of the vehicle to establish that it is a work-related vehicle.

Law: IT07 ss [CX 6\(2\)](#), [CX 38](#), [YA 1](#) ("car", "motor vehicle")

Last reviewed on 31 December 2025

Fringe benefit exclusion — emergency calls [¶21-230]

[¶21-230]

[Click to open document in a browser](#)

The second situation where the value of a fringe benefit can be reduced (where the vehicle is available for private use) is where the motor vehicle that would otherwise give rise to a fringe benefit is used by an employee on an “emergency call”. The day on which the employee departs from home on such a call is an exempt day. An emergency call is a visit required to be made by the employee from home in the course of employment to provide services that are:

- # essential to the operation of any plant or machinery of the employer or any client or customer of the employer
- # essential to the maintenance of any service provided by any public or local authority or by any person whose business comprises supplying energy or fuel to the public, or
- # emergency services relating to the health or safety of any person

and are called at the request of the employer, client or customer, or member of the public.

Except in the case of emergency services relating to the health or safety of a person, the services must be performed by the employee between 6pm and 6am during the working week, or at any time during a Saturday, Sunday or a statutory public holiday.

There is no restriction on the type of vehicle that may be involved.

Example:

Jobs R US Ltd (a recruitment company) is a client of Cross Wires Limited (CWL). Jobs R US has decided to update its computer terminals. Chris, an employee of CWL, has agreed to come in after hours and replace the terminals and run a software update. His visit is scheduled for 11pm on Tuesday evening when the recruitment staff have left for the day. The timing of the update is to ensure minimal disruption to the recruitment company’s business. Chris travels from home to the offices of Jobs R US Ltd. Chris finishes up around 5am. He stays around afterwards to talk to the Jobs R US Ltd business development manager about selling the company some new accounting software. He leaves the Jobs R US Ltd offices at 9am.

Chris’s visit qualifies for the emergency call exemption because:

- # the visit was something requested by Jobs R US and Chris made the visit in his vehicle from his home to the client site
- # the principal purpose of the visit was to undertake essential information technology services in relation to the operation of the client’s plant and machinery, namely the computers that the client uses to undertake its business (the client could not undertake its business without the computers), and
- # the essential services were carried out on a week day between 11pm and 5am.

It is irrelevant that Chris stayed on after he finished performing the essential services to discuss the sale of new accounting software with the business development manager. It is not necessary for the employee to depart the workplace after the purpose of the visit has been fulfilled. This does not prevent the exemption from applying.

Example adapted from Interpretation Statement [IS 17/07](#): “Fringe Benefit Tax — Motor Vehicles”.

Records kept for emergency calls

When an employer claims relief in respect of an emergency call, IR requires that certain records be kept, these being the name of the employee and the registration number of the vehicle concerned; the time, date and recipient of the call; details of the purpose and place of the call; and the services provided.

Law: IT07 ss [CX 6\(3\)](#), [CX 34](#)

Last reviewed on 31 December 2025

Fringe benefit exclusion — regular business trips [¶21-240]

[¶21-240]

[Click to open document in a browser](#)

Regular business trips are the third situation where the taxable value of a motor vehicle fringe benefit may be reduced. If an employee is regularly required to be absent from home on business and is required by their employer to use a motor vehicle in the course of employment, any day on which the employee is so absent from home and so uses the vehicle does not count as a day on which the motor vehicle is available for private use, provided the total period of absence is at least 24 continuous hours.

If the total absence is for at least 24 continuous hours, the day of departure from home and the day of arrival back home may both qualify as exempt days, provided on both those days the employee actually used the car for working purposes connected with the trip.

IR considers that for this exemption to apply the employee must be absent “with” the vehicle. If the vehicle is parked at an airport while the employee travels by plane, the exemption will generally not apply ([IS 17/07](#): “Fringe Benefit Tax — Motor Vehicles” and the following example).

Example:

Chris is an employee of Cross Wires Limited (CWL). Chris has a company vehicle that he can use privately. Chris needs to visit some clients in Napier to help install new equipment and to investigate new business opportunities. He decides to make the 4-hour journey in his company vehicle. He is in Napier for 3 days. Does Chris’s visit qualify for the business travel exemption?

Yes. Chris is absent from home with the vehicle for more than 24 hours. In the performance of his employment duties, he is regularly required to use a vehicle and is regularly required to be absent from home.

Example adapted from Interpretation Statement [IS 17/07](#): “Fringe Benefit Tax — Motor Vehicles”.

Records required for absence on business

IR requires sufficient records to be kept so that the days that a motor vehicle is not available due to business trips can be justified. Records may include the name of the employee and the registration number of the vehicle concerned, times and dates of departure and arrival home, details of the nature and purpose of the trip, and the number of days of business and non-business use in each period of absence. Hotel and other travel receipts may also be kept.

Law: IT07 s [CX 6\(4\)](#), [\(5\)](#)

Last reviewed on 31 December 2025

Fringe benefits — shareholder-employee and motor vehicle [¶21-245]

[¶21-245]

[Click to open document in a browser](#)

A fringe benefit arises when a motor vehicle is made available by an employer to a shareholder-employee for their private use.

FBT will not apply if the employer elects to treat the benefit as a dividend (s [CX 17\(2\)](#) and [¶21-070](#)).

FBT will also not apply to motor vehicle benefits provided by close companies to shareholder-employees where the close company has elected to apply the motor vehicle expenditure rules in subpart [DE](#) instead of the FBT rules (s [CX 17\(4B\)](#) and [¶21-070](#)).

Restricted private use

In [IS 17/07](#): “Fringe Benefit Tax — Motor Vehicles”, IR has stated that the following will be evidence in support of a claim that a shareholder-employee has restricted private use of a company-owned motor vehicle:

- # Evidence relating to the company’s intentions as to what the vehicle would be available for (for example, letters from directors or evidence of the anticipated business use).
- # Evidence concerning the actual use of the vehicle, including log books and taxpayer statements.
- # Evidence that the shareholder-employees have access to an alternate vehicle for private use.

Example:

Veri is a shareholder-employee and managing director of Cross Wires Limited (CWL). Veri has a luxury company vehicle but she is restricted from using it privately. CWL ensures that Veri’s luxury vehicle is not available for private use by having Chris, as Director of CWL, write a letter to Veri prohibiting her from using any of CWL’s vehicles for private use. The letter also notes that Veri’s luxury vehicle is required to be garaged on CWL’s premises each night and cannot be taken home. The letter also observes that Veri lives in the city, has her own motorbike and private car and does not need another vehicle for private purposes. A copy of this letter is kept on file.

Example adapted from Interpretation Statement [IS 17/07](#): “Fringe Benefit Tax — Motor Vehicles”.

Law: IT07 ss [CX 6\(1\)](#), [\(2B\)](#), [CX 17](#)

Last reviewed on 31 December 2025

Fringe benefits — value of motor vehicle benefits [¶21-250]

[¶21-250]

[Click to open document in a browser](#)

The value of the private use or the availability for private use of a motor vehicle is calculated on either the cost price or tax value of the vehicle. Briefly, if the vehicle provided is owned by the person, the value of the benefit is calculated on the cost price or tax value of the vehicle to the person. If the vehicle provided is leased or rented by the person, the value of the benefit is calculated on the cost price or tax value of the vehicle to the owner (ie the lessor).

Cost price or tax value

The choice of using either cost price or tax value is made in the first FBT return for the vehicle. Once the choice is made, the employer must use the same method until the vehicle is disposed of, the vehicle ceases to be leased, or 5 years have passed since the beginning of the period of the vehicle's first FBT return, whichever is the earlier. This means that the employer is locked into using either cost price or tax value for at least 5 years. A change to the calculation basis cannot be made until this time period has passed.

Goods and services tax

As a general rule, the value of the fringe benefit must be calculated on a GST-inclusive figure ([¶21-115](#)). However, for those who have kept records on a GST-exclusive basis, Sch 5 provides an option to base the calculation of the value of the benefit on either 5% of the GST-inclusive cost price or 5.75% of the GST-exclusive cost price. If the tax value basis is used, the value of the benefit is calculated on either 9% of the GST-inclusive tax value or 10.35% of the GST-exclusive tax value. Elections can be made on a vehicle-by-vehicle basis. Where FBT is payable on an annual basis, the option is 20% pa on the GST-inclusive cost price or 23.00% on the GST-exclusive cost price. If the tax value basis is used, the value of the benefit is calculated on either 36% of the GST-inclusive tax value or 41.40% of the GST-exclusive tax value.

Clean car discount scheme and State Sector Decarbonisation Fund

Where a rebate is received from the Government under the clean car discount scheme, the cost for FBT purposes is reduced by the amount of the rebate. Conversely, any fee paid under the scheme for a high emitting vehicle increases the cost for FBT purposes (Sch 5, cl [7B](#)).

The cost or tax value of a vehicle is not reduced by amounts received under the State Sector Decarbonisation Fund (Sch 5, cl [7C](#)).

Note: A proposed amendment in the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill will clarify that the cost or adjusted tax value of a vehicle will not be impacted by the amount of any Investment Boost claimed in respect of the vehicle. The proposed amendment is intended to apply from 1 April 2026.

Test period

Employers may calculate FBT in respect of motor vehicles on the basis of a sample 3-month test period. The results from the test period will be able to be used to calculate the number of days upon which the vehicle is available for private use, by contrast to being deemed to be only available for work use. The test period results form a basis for calculating FBT for a 3-year period before a further test has to be undertaken ([IS 17/07](#): "Fringe Benefit Tax — Motor Vehicles").

Law: IT07 ss [RD 28](#), [RD 29\(6\)](#), [RD 31](#), Sch [5](#)

Last reviewed on 31 December 2025

Fringe benefits — calculating value of motor vehicle — vehicle owned [¶21-255]

[¶21-255]

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Three bases exist for determining the taxable value of a motor vehicle where the vehicle is owned by the person making it available for private use.

Quarterly basis

To work out the taxable value of the fringe benefit for quarterly filers, the following formula is used:

$$\text{days} \times \text{schedule 5 amount} \div 90$$

where:

days is the lesser of 90 and the number of days (including part of a day) during the quarter in which the vehicle was made available for private use by the employee (see further below), and
schedule 5 amount is the amount calculated under [Sch 5 cl 1\(a\)](#) of the Act, being 5% of the GST-inclusive cost price or 9% of the GST-inclusive tax value of the vehicle (or 5.75% of the GST-exclusive cost price or 10.35% of the GST-exclusive tax value).

“Cost price” is discussed below. In calculating “days”, the number of days that:

- # there was no availability for private use by an employee
- # the vehicle was used for an emergency call
- # the vehicle was used on a business trip away from the employee's home, or
- # the vehicle was used as a work-related vehicle

must be subtracted from the number of days in the quarter. Simply stating 90 days for each quarter in this part of the formula is a common error.

Example:

During the quarter ending 31 March 2026, Mr TP had one of his employer's motor vehicles available for private use. The vehicle cost \$28,500 (GST-inclusive) of which Mr TP paid \$5,000. During the quarter, the vehicle was in the workshop for one week, was used to make 2 emergency calls and was taken away on a sales trip for 10 days. Mr TP made a contribution of \$20 per week to the private running costs. Mr TP's employer uses the cost price basis to calculate FBT on the vehicle and chooses to pay FBT in this quarter at 49.25%. The number of days a fringe benefit was conferred is:

Days of the quarter		90
less no availability for private use	7	
less emergency calls	2	
less business trip days	10	19
		<u>71</u>

The gross value of the benefit is calculated as follows:

$$71 \text{ days}/90 \text{ days} \times \$28,500 \times 5\% = \$1,124$$

That value must then be adjusted for Mr TP's contributions and ownership reduction as follows ([¶21-280](#)):

	\$	\$
Quarterly taxable value		1,124
less contributions (12 wks × \$20)	240	
less ownership reductions (\$5,000 × 0.025)	125	<u>365</u>

Net quarterly taxable value

759

The fringe benefit tax payable for the quarter is 49.25% of the net quarterly taxable value, being:

$$\$759 \times 49.25\% = \$373.81$$

Annual basis

Employers who file FBT returns on an annual basis will need to determine the annual value of the fringe benefit by applying the quarterly formula provided as above to each of the 4 quarters and adding these together to arrive at the annual value.

Income-year basis

For employers who file FBT returns on an income-year basis, the taxable value will be calculated over the entire year rather than as a total of 4 quarters. This is done through the application of the formula:

$$\text{days} \times \text{schedule 5 amount} \div 365$$

where:

days is the number of days in the income year in which the vehicle is available for private use reduced by the number of days in which the motor vehicle is a work-related vehicle, and
schedule 5 amount is the amount calculated under [Sch 5 cl 1\(a\)](#), being 20% of the GST-inclusive cost price or 23% of the GST-exclusive cost price or 36% of the GST-inclusive tax value or 41.40% of the GST-exclusive tax value of the motor vehicle.

Cost price

“Cost price” is not defined in the legislation for the purposes of FBT. Public binding ruling [BR Pub 09/08](#): “‘Cost price of the vehicle’ — meaning of the term for fringe benefit tax purposes”, *Tax Information Bulletin* [¶221-102](#), [¶221-103 Vol 22, No 1](#), September 2010 at 3, states that the cost price of a motor vehicle includes:

- # the purchase price of the vehicle
- # the cost of the *initial* registration and licence plate fees
- # the cost of accessories, components and equipment (other than “business accessories”) fitted to the vehicle at the time of purchase or at any time thereafter
- # the cost (if any), including freight insurance costs and any customs duty, of transporting the motor vehicle to the place where it is to be first used.

All costs include GST. IR further considers that the cost price does *not* include the following:

- # annual vehicle re-licensing fees
- # road user charges
- # sign-writing the vehicle in the employer’s colours or style (in physical terms, the addition of paint or other graphics such as magnetic signs, decals or transfers)
- # “business accessories” fitted to the motor vehicle at the time of purchase or at any time thereafter, and
- # financing the purchase of the vehicle.

The term “business accessories” means accessories, components and equipment fitted to the vehicle, required for and relating solely to the business operations for which the vehicle is used. These items must also be in themselves “depreciable property” for tax purposes. If the “business accessories” are powered, the definition states that they will usually require the vehicle’s power source to operate them.

The phrase “fitted to the vehicle” is defined in the ruling as permanently affixed to the vehicle. However, the accessory will still be “fitted to the vehicle” if it is temporarily removed for repair or maintenance, or removed on sale or disposal of the vehicle or the accessory itself.

The ruling applies for an indefinite period from 1 November 2008.

Tax value

A motor vehicle’s “tax value” is the value of the vehicle in a quarter or tax year or income year as determined under the depreciation rules for the beginning of the tax year or income year. However, if the vehicle is acquired after the beginning of the tax year or income year, the vehicle’s tax value is its cost. Note that special rules apply if the vehicle has previously been owned by the employer or an associated person within 2 years of its reacquisition.

If the tax value method is adopted, employers should be aware that there is a minimum tax value for the vehicle of \$8,333. This means that the FBT value of a motor vehicle provided to an employee must be calculated on \$8,333 when the actual tax value (as determined under the depreciation rules) falls below that threshold.

Start time of day

When calculating the FBT value of making a vehicle available to an employee for the employee’s private use, the employer may choose the start time of the FBT day. If no election for a specific start time is made, the FBT day is a 24-hour period starting at midnight.

The alternative start time must be a whole number of hours after midnight. The Commissioner must be notified of the election when the next FBT return for the vehicle is provided. The election is effective from the start of the quarter, income year or tax year to which the return relates and will apply to all motor vehicles provided to employees that are subject to FBT. Any election made will apply for a minimum period of 2 income years.

An application may be made to amend the start time of an FBT day or to revoke any previous election made if the employer’s circumstances have changed. The extent of the change must be more than minor and make the previously elected start time no longer relevant to the employer’s business.

Law: IT07 ss [RD 29](#), [RD 30](#), [Sch 5](#)

Last reviewed on 31 December 2025

Fringe benefits — calculating value of motor vehicle — vehicle rented or leased [¶21-260]

[¶21-260]

[Click to open document in a browser](#)

Where a motor vehicle is leased or rented by the employer, the value is calculated as follows:

Quarterly basis

The formula that applies to owners of motor vehicles ([¶21-255](#) under the heading “Quarterly basis”) also applies if a vehicle is leased or rented by the employer. The exception is that the “schedule 5 amount” in the formula for each quarter is 5% of the owner’s (ie the lessor’s) GST-inclusive cost price of the vehicle at the time the vehicle is provided to the employee. If the tax value method is used, the FBT value for each quarter is 9% of the owner’s GST-inclusive tax value of the vehicle at the time the vehicle is provided to the employee.

Annual basis

If FBT is paid on an annual basis, the value of the benefit is the total of the amounts calculated for the 4 quarters in the applicable tax year.

Income-year basis

If FBT is paid on an income-year basis, the formula that applies to employers who own the motor vehicle ([¶21-255](#) under the heading “Income-year basis”) also applies where the motor vehicle is rented or leased. The exception is that the “schedule 5 amount” is 20% of the owner’s (rather than the employer’s) GST-inclusive cost price or 36% of the tax value.

Cost price

The cost price of a leased or rented vehicle that has previously been leased or rented to another person (not being the employer) is the vehicle’s market value provided all of the parties are not associated. More specifically, the employer and the previous lessee cannot be associated, nor can the employer or employee and the lessor or owner be associated. Further, the employee cannot be the lessor or owner of the vehicle.

Lessor requirements

If requested, the lessor must provide the lessor’s cost price or tax value of the vehicle leased or rented to the lessee (employer).

Law: IT07 ss [RD 28](#), [RD 29](#), [Sch 5](#)

Last reviewed on 31 December 2025

Fringe benefits — Commissioner determining cost of vehicle [¶21-265]

[¶21-265]

[Click to open document in a browser](#)

In certain circumstances, the Commissioner is authorised to determine the vehicle's cost price. The Commissioner may do this in circumstances where the vehicle was acquired by the employer at no cost, the vehicle was acquired at less than its current market value because of an arrangement between the employer and an associated person to defeat the intent and application of the fringe benefit tax provisions, or the cost price cannot be established by the employer to the satisfaction of the Commissioner. In any of these situations, the Commissioner may determine that the cost price of the vehicle is the vehicle's current market value on the date of acquisition by the employer. The Commissioner's power is subject to the rules relating to sale and buy back agreements ([¶21-275](#)).

Law: IT07 s [GB 31\(4\)](#), [Sch 5 cl 8](#)

Last reviewed on 31 December 2025

Fringe benefits — value of pooled vehicles [¶21-270]

[¶21-270]

[Click to open document in a browser](#)

Where a pool of vehicles is available to an employee for private use, the “[schedule 5](#) amount” factor in the formula for calculating the value of the benefit ([¶21-255](#)) will be:

if the employee primarily uses one particular vehicle, 5% of the GST-inclusive cost price or 9% of the GST-inclusive tax value of that vehicle in each quarter or 20% of the GST-inclusive cost price or 36% of the GST-inclusive tax value in respect of a vehicle in a tax year or an income-year basis

if the employer does not primarily use one particular vehicle, is employed in the business of selling cars and the only vehicles available for use are trading stock, 5% of the average GST-inclusive cost price or 9% of the average GST-inclusive tax value of the vehicles available for the employee’s use on a quarterly basis, or 20% of the average GST-inclusive cost price or 36% of the average GST-inclusive tax value on an income-year or tax year basis

if neither of the above applies, 5% of the GST-inclusive cost price or 9% of the GST-inclusive tax value of the highest value of the vehicles used by the employee or 20% of the GST-inclusive cost price or 36% of the GST-inclusive tax value of the highest value vehicle on a tax year or an income-year basis.

For the “[schedule 5](#) amount” part of the formula where the amount is GST-exclusive, see [¶21-250](#).

Example:

Company TP has a pool of 5 vehicles, 4 of which are used by the employees for private purposes. The cost price of these vehicles are: \$17,000, \$20,000, \$25,000 and \$28,000. The managing director, who is also a controlling shareholder, has the sole use of a motor vehicle with a cost price of \$60,000. Assume the value of the benefit is calculated using the cost price of the vehicle and FBT is paid at 49.25%. FBT is payable as follows:

Pool vehicles used by all employees

Number of days available for private use = 75

5% (in the case of a quarter’s calculation) of the highest cost price of the vehicle in the pool = $\$28,000 \times 5\% = \$1,400$

$$75 \div 90 \times \$1,400 = \$1,167 \times 4 \text{ (no of vehicles)} = \$4,668$$

Pool vehicles used only by one employee

Number of days available for private use = 90

5% (on a quarterly basis) of the cost price of that motor vehicle: $\$60,000 \times 5\% = \$3,000$

$$90 \div 90 \times \$3,000 = \$3,000$$

FBT of \$3,776.49 is payable, ie 49.25% of \$7,668 (\$4,668 + \$3,000).

The divisor “90” is used where FBT is returned on a quarterly basis. If returning FBT on an income-year basis, the divisor is 365. Fringe benefit tax returned on an annual basis is calculated by adding the 4 quarterly amounts for the quarterly periods that fall within the relevant year.

Law: IT07 [Sch 5 cl 2](#)

Last reviewed on 31 December 2025

FBT — sale and buy back arrangements of vehicles [¶21-275]

[¶21-275]

[Click to open document in a browser](#)

There are specific provisions to stop sale and buy back arrangements. These arrangements involve the sale and immediate repurchase of a motor vehicle with the objective of reducing the cost price on which the tax is calculated. Where a person acquires a motor vehicle and (within the previous 2 years ending on the day before the acquisition) the car has been owned by the employer or an associated person of the employer, the cost price of the car for FBT purposes is deemed to be the highest price at which, subsequent to manufacture, it has been acquired by the employer or the associated person. The effect is that the original purchase price remains the car's cost price when calculating FBT. Any subsequent purchase is disregarded.

Example:

Mr Swifty purchased a car for \$80,000 on 1 October 2023. He sold it to his son, Swifty Jnr, on 3 April 2024 for \$59,200, and bought it back again for \$54,000 on 10 April 2024. He recorded the cost price of the car in his company books at \$54,000.

The cost price is to be the highest cost price to Mr Swifty, or Swifty Jnr, at any time since the car's manufacture. In this case, it is \$80,000. FBT must therefore be calculated at this price, and not the lower price of \$54,000.

QWBA [QB 10/03](#): "Fringe benefit tax — value of motor vehicle previously owned by the employer or by an associated person of the employer" provides that the appropriate starting point to value a vehicle for FBT purposes where (within the last 2 years) the motor vehicle was previously owned by the employer or an associated person will be:

- # if the cost price method is used, the highest cost paid for the vehicle by the employer or associated person on any acquisition

- # if the tax value method is used, determined by [Sch 5 cl 4](#). More information on the application of cl 4 is in *Tax Information Bulletin* [¶193-116 Vol 19, No 3](#), April 2007 at 80.

See also [¶21-060](#) regarding the wider application of s [GB 31](#) and [¶21-130](#) regarding the application of s [GA 2](#). These are anti-avoidance provisions dealing with arrangements affecting FBT.

Law: IT07 s [GB 31\(4\)](#), [Sch 5 cl 8](#)

Last reviewed on 31 December 2025

Fringe benefits — employee contribution and part-ownership of vehicle [¶21-280]

[¶21-280]

[Click to open document in a browser](#)

Employee contribution

Where an employee receiving a fringe benefit makes a payment towards it, the taxable value is reduced by the lesser of the taxable value of the benefit and the amount paid. This is to ensure that a negative value does not arise.

Part-ownership by employee

Where vehicles are part-owned by an employee or an associated person and the employer has not valued the motor vehicle on a GST-exclusive basis, the reduction in taxable value is 2.5% per quarter or 10% per income year of the cost price to the employee (determined on a GST-inclusive basis).

If an employee or associate is a part-owner of the vehicle and the employer has valued the motor vehicle on a GST-exclusive basis, the reduction in taxable value, calculated exclusive of GST, is:

when FBT is paid quarterly:

$$2.5 + (2.5 \times \text{schedule 5 rate})$$

when FBT is paid on an annual basis:

$$2.5 + (2.5 \times \text{schedule 5 rate})$$

when FBT is paid on an income year basis:

$$10 + (10 \times \text{schedule 5 rate})$$

Adjustment for period shorter or longer than a year

Various adjustments can be made to calculate the amount of taxable fringe benefit where an employer who returns FBT on an income-year basis has an FBT period shorter than or longer than a normal income year because the employer is ceasing or commencing business or the employer is changing balance date. In these cases, the taxable value of the fringe benefit of a motor vehicle is reduced by:

$$10\% \times \text{number of days in period} \div 365$$

This percentage reduction in the value of the fringe benefit is itself reduced in the case of employees who do not own part of the motor vehicle for the whole of an income year or other accounting period. Here, the reduction is adjusted by the proportion:

$$\text{period of non-ownership (in days)} \div \text{total days in income year or other period}$$

The net effect of this is to increase the value of the taxable fringe benefit under consideration.

Example:

Employer Co Ltd pays FBT on an income-year basis. It has received written approval from IR to change its balance date from 31 March to 30 June. The first year of application is the 2022–23 income year; therefore, the income year ended 31 March 2023 will be a 15-month period from 1 April 2022 to 30 June 2023 (an extra 91 days). Employer Co makes a motor vehicle available for private use to a shareholder-employee, Lucy. Lucy acquired a 30% interest in the motor vehicle provided on 1 August 2022. The GST-inclusive cost price of the motor vehicle is \$30,000. The taxable value of the fringe benefit provided in the 2022–23 income year is:

number of days in period = 456 days (1 April 2022 to 30 June 2023)

period of non-ownership of motor vehicle = 122 days (1 April 2022 to 31 July 2022)

period of ownership of motor vehicle = 334 days (456 ÷ 122)
 Lucy's portion of cost price of motor vehicle = \$9,000 (30% of \$30,000)
 (\$30,000 × 20%) ÷ (334/365 × \$9,000 × 10%) = \$6,000 ÷ \$823.56 = \$5,176.44

QWBA on treatment of an employee contribution to a fringe benefit

QWBA [QB 19/12](#): "What is the fringe benefit tax, GST and income tax treatment of an employee contribution to a fringe benefit?" explains how an employer must treat an employee contribution to a fringe benefit. The answer depends on whether the employee makes a full or partial contribution to the value of the fringe benefit and who the employee makes the payment to.

[QB 19/12](#) notes that an employee contribution may be made in different ways. For an employee, payment might involve meeting an expense that would otherwise be an expense of the business. For example, an employee with a company vehicle might sometimes pay for petrol for that vehicle. For a shareholder-employee, payment might occur by debiting the shareholder-employee's current account with the employer company. However, an effective salary sacrifice arrangement is not treated as an employee contribution to a fringe benefit. An effective salary sacrifice arrangement is where an employee agrees to reduce their salary by an agreed amount in recognition of their employer providing them with a fringe benefit.

The item's conclusions are summarised in the following table:

	Partial contribution	Full contribution
Fringe benefit tax	The taxable value of the fringe benefit is reduced by the contribution. The reduced taxable value of the benefit is subject to FBT and is included in the employer's FBT return.	The taxable value of the fringe benefit is nil so there is no FBT liability. However, a nil FBT return must be filed as a fringe benefit has still been provided.
GST on fringe benefit	GST is imposed on the taxable value of the fringe benefit (the value of the fringe benefit less the contribution). This amount is paid in the employer's FBT return and is deemed to be FBT.	The taxable value of the fringe benefit is reduced to nil so there is no GST liability.
GST on contributions to employers	A contribution made to the employer is consideration for a supply by the employer and must be accounted for in the employer's GST return. A contribution to a third party will not be consideration for a supply by the employer.	
Income tax	A contribution made to the employer is income of the employer and must be included in the employer's income tax return, net of GST. The employer may claim relevant deductions relating to the fringe benefit. A contribution to a third party will not become income of the employer.	

GST treatment of contributions

When an employer supplies an employee with a fringe benefit, that supply is deemed to be a supply of goods and services by the employer in the course or furtherance of their taxable activity (s [211](#) of the GST Act). The supply will be valued under s [10\(7\)](#) of the GST Act using the FBT taxable value. However, the provision of a fringe benefit will be a supply only to the extent that the employee has not paid an amount for the receipt or enjoyment of the fringe benefit. If an employee makes a partial contribution to the employer for receiving the fringe benefit, the supply must be split into 2 supplies — a supply of a fringe benefit and a supply of the good or service the employee has paid for. There will also be no supply of a fringe benefit for GST purposes if the fringe benefit arises out of an exempt or zero-rated supply.

[QB 19/12](#) also contains a number of examples that illustrate how the law works.

Law: IT07 ss [RD 54–RD 57](#), [Sch 5 cl 9](#), [cl 10](#)

Last reviewed on 31 December 2025

Loans giving rise to FBT [¶21-340]

[¶21-340]

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Any loan provided by an employer (or other related party under an arrangement) to an employee at a favourable rate of interest is a fringe benefit which can give rise to a liability for FBT. FBT is calculated by comparing the interest on the loan with interest calculated using the “prescribed” rate or, in the case of an employer in the business of lending money to the public who has made an election, the market interest.

Definition of loan

“Loan” is defined to include an amount of money lent (ie by depositing it into a person’s account), giving credit (including not enforcing a debt), a loan or credit given under an obligation or arrangement and money given in return for a promissory note (or a similar arrangement where the promise is not evidenced in writing). A loan would, therefore, include the debit balance in the current account of a shareholder-employee of a private company ([¶21-410](#)).

Normal trade credit (eg payment due on the 20th of the following month) given by an employer to employees does not fall within the definition of “loan”, provided the employees are treated no differently from other customers of the employer.

Loans that are not fringe benefits

The following types of loans are not fringe benefits:

- # an employee share loan ([¶21-568](#))
- # an exempt employee share scheme loan ([¶13-471](#))
- # an amount that is a PAYE-related overpayment ([¶15-290](#))
- # an advance of salary and wages of up to \$2,000 where the employment contract does not require the employer to make the advance.

Law: IT07 ss [CX 2\(1\)\(b\)\(i\)](#), [CX 10](#), [YA 1](#) (“[exempt ESS](#)”, “[loan](#)”, “[money lent](#)”)

Last reviewed on 31 December 2025

FBT — taxable value of loan benefit [¶21-350]

[¶21-350]

[Click to open document in a browser](#)

The taxable value of the fringe benefit depends on the time at which the loan was made, the terms of the loan and whether the rate of interest payable on the loan is less than the “prescribed interest” or, for some employers, the market interest (see further below).

Prescribed rate of interest

For an employer who has not made an election to use the market interest to calculate the taxable value of providing a loan (this applies only to employers who are in the business of lending money to the public, see further below), the taxable value is calculated by determining the interest at the prescribed rate as accrued over the quarter (or other period) on the daily balance of the outstanding loan. The interest that has been paid by the employee is then deducted to give the taxable value of any benefit.

If the loan is a financial arrangement and it is appropriate, the value of the benefit is the amount by which the prescribed interest on the loan exceeds the income that would have accrued to the employer calculated under the yield to maturity method.

Prescribed interest rates are set by regulation under s [RA 21\(3\)](#). These prescribed rates are typically published in a Tax Information Bulletin and on the IR website. For a table of past and present rates, see CCH, *Dep Rates 2026* [¶50-082](#).

If the actual interest (or if relevant, the actual income accrued to the employer under the yield to maturity method) is equal to or exceeds the prescribed rate, there is no fringe benefit for the quarter or period in respect of the loan.

Example:

Mr Jones is a bank officer who received a housing loan of \$36,000 from the bank on 1 May 2025 with an interest rate of 4%. For the quarter ending 30 June 2025, he pays interest of \$240.66, while interest calculated on a daily basis at the prescribed rate of 7.38% requires interest payments totalling \$444.01. Assume the bank has not made an election to use the market rate to calculate the value of the benefit and that FBT is paid at 49.25%.

The quarterly taxable value is:

	\$
Interest at prescribed rate	<u>444.01</u>
Less actual interest	<u>240.66</u>
	<u>203.35</u>
The FBT payable is 49.25% of that taxable value, being:	$\$203.35 \times 49.25\% =$ <u>100.15</u>

Market interest

An employer who is in the business of lending money to the public can choose to calculate the FBT value of providing an employment-related loan using the market interest on the loan. If an election is made, the value of the benefit is the amount by which the market interest on the loan is more than the amount of interest that accrued on the loan in that period.

If the loan is a financial arrangement and it is appropriate, the value of the benefit is the amount by which the market interest on the loan exceeds the income that would have accrued to the employer calculated under the yield to maturity method.

If an election is made to use the market interest, the employer is locked into that method for at least 2 income years, being the income year to which the election relates and for the next following income year. After this 2-year period has passed, the employer may change from using the market interest only if the Commissioner is given at least one year's notice of the intended change. The one-year period of notice is calculated from the beginning of the income year of change.

Market interest is the amount of interest calculated at the interest rate that would apply to a borrower belonging to a group of persons that satisfies certain conditions.

These conditions are:

- # a comparable credit risk to the group to which the employee belongs
- # no association between a member of the group and the employer, and
- # the group is of sufficient number to ensure an arm's length transaction.

When calculating the market interest, the amount of interest is the amount accrued on the loan during the quarter or tax year calculated on the daily balance of the loan at the rate referred to above.

An employer who is a member of the same group of companies as a person who is in the business of lending money to the public can use the market interest rate method of valuing an employment-related loan.

With effect from 1 April 2019, a second option was added to the current "market interest" definition. Banks and other employers eligible to use the market interest rate for calculating FBT on employment-related loans may use either the current or new definition. The new definition for a given employee and loan type is the lowest rate given around the same time by their employer in the ordinary course of business to a customer with a similar profile to the employee.

An employee and a customer will have similar profiles if, on the factors considered by the money lender as relevant to the interest rates it offers to customers, they have similar characteristics. Factors a money lender may consider when offering loans include, but are not limited to, a customer's risk profile, amount of security or loan to value ratio. In calculating the market rate for a given employee, employers are generally required to use loans given to customers in the same quarter that a loan was given to the employee. However, if it is impracticable to calculate the market rate using loans given to customers in the same quarter that a loan was given to the employee, they may instead calculate the market rate using loans given to customers in the quarter immediately prior to the quarter in which the loan was given to the employee.

Law: IT07 ss [RD 34](#), [RD 35](#)

Last reviewed on 31 December 2025

FBT — loan record-keeping requirements [¶21-400]

[¶21-400]

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Records maintained in respect of any loan must be sufficient to:

- # establish the daily balance of the loan during each quarter, to enable the calculation of interest at the prescribed or non-concessionary rate on that balance
- # enable calculation of the interest that would be payable on the daily balance at the prescribed or non-concessionary rate, and
- # enable the calculation of actual interest and charges in respect of each quarter, regardless of when the interest in fact accrues or whether any charges are in fact incurred. (This requires a system to record interest and charges on a quarterly basis for the purposes of fringe benefit tax.)

Records for establishing the daily balance during each quarter should include records of the loan balance at the beginning of the quarter, all repayments or reductions to the loan during the quarter and their dates, and interest charges applicable during the quarter and their dates.

Last reviewed on 31 December 2025

FBT — shareholder-employee — current account and low-interest loan [¶21-410]

[¶21-410]

[Click to open document in a browser](#)

Fringe benefit tax is payable when there is a debit balance in a shareholder current account and the interest charged, if any, to the shareholder-employee is less than the interest that would be charged at the prescribed rate for the quarter or tax year in which there is a debit balance. To eliminate the FBT liability, interest at the prescribed rates may be charged on the overdrawn current account; however, this may give rise to other tax consequences for both the company and the shareholder-employee (see [IS 24/09](#): “Income tax — overdrawn shareholder loan account balances”, [44] to [61]).

A special rule permits the retrospective crediting of salary or wages for the purposes of calculating the value of the loan benefit. Where the shareholder-employee is allocated further salary or wages (not being subject to PAYE) after the end of the tax year, that income is treated as having been credited to the current account on the later of either the first day of that income year or the day on which the balance of the current account first became overdrawn during that income year.

Law: IT07 s [RD 36](#)

Last reviewed on 31 December 2025

FBT — loans owing to life insurers [¶21-420]

[¶21-420]

[Click to open document in a browser](#)

FBT is payable in respect of any low-interest loan that a life insurer may provide to a policyholder or to an associate of a policyholder where the life insurance policy is offered or entered into in New Zealand. In addition to the life insurer, s [CX 11](#) catches an associated person of the insurer or any other person with whom the insurer has made arrangements for the granting of the loan. The FBT rules apply as if the insurer is the employer, the policyholder is the employee and the loan is an employment-related loan.

Law: IT07 s [CX 11](#)

Last reviewed on 31 December 2025

FBT — unclassified benefits [¶21-425]

[¶21-425]

[Click to open document in a browser](#)

As a catch-all category, a fringe benefit arises when an employee receives an unclassified benefit in connection with their employment. An unclassified benefit does *not* include:

- # the availability for private use of a motor vehicle
- # subsidised transport
- # employment-related loans
- # services for members of Parliament
- # contributions to superannuation schemes
- # contributions to sickness, accident or death benefit funds
- # contributions to funeral trusts under s [CW 45](#), and
- # contributions to life or health insurance of a friendly society.

An unclassified benefit includes employment-related gifts and prizes (eg flowers to an employee on the birth of a child or on a family bereavement), free or subsidised goods, and other benefits such as the sale of property to an employee at a discount. The test goes beyond benefits related to work performed. Provided it is in connection with the employee's employment, a benefit is taxable as a fringe benefit.

The de minimis exemption may apply to fringe benefits provided in this category ([¶21-555](#)).

Law: IT07 ss [CX 2\(1\)\(b\)\(ii\)](#), [CX 37](#)

Last reviewed on 31 December 2025

Goods liable to FBT [¶21-430]

[¶21-430]

[Click to open document in a browser](#)

Free, subsidised or discounted goods provided by the employer may constitute unclassified benefits.

Goods manufactured by the employer

Where goods are manufactured, produced or processed by the employer, the value of the benefit is equal to the lowest arm's length (GST-inclusive) price at which identical goods are sold by the employer to wholesalers, retailers or the general public ([¶21-638](#)). "Discount" sales to employees of the employer's goods will not give rise to a benefit if the amount paid by the employee does not fall below the lowest price charged on an arm's length sale. However, sales "at cost" will give rise to a benefit if the cost price is below the price charged to anyone at arm's length.

Example:

Sales at wholesale would not give rise to a benefit. However, where the employer bulk-discounts on an arm's length sale, the reduced price per item on such sales could be the price charged to employees without a benefit arising even though the employees do not buy in the same bulk. It would still be, provided the goods were identical, the lowest arm's length price.

Goods purchased or paid for by the employer

The benefit of free, subsidised or discounted goods is liable for FBT if it is provided by an employer in an arm's length transaction to an employee at less than the GST-inclusive cost to the employer. This valuation means that discount sales to employees of goods at cost will not give rise to any benefit. A retailer, for example, which permits its employees to purchase goods at a staff discount which does not fall below the cost of the goods to the employer will not be providing any benefit. Cost to the employer, in most cases, means the purchase price of those goods to the employer.

Discounted goods provided by a third party under an arrangement with an employer may be exempt from FBT ([¶21-638](#)).

Questions we've been asked on gifts cards and products

QWBA [QB 25/07](#): "What is the income tax treatment of gift cards and products provided as trade rebates or promotions?" explains that products or gift cards received as trade rebates by a business and provided to its employees (directly or indirectly) may give rise to employment income, a fringe benefit or a dividend in the case of shareholder-employees. The tax treatments are summarised below.

Products provided directly or indirectly to employees

Products provided to employees who are not shareholder-employees will be unclassified fringe benefits and FBT will be payable on the market value of the product (subject to the de minimis threshold for unclassified benefits). For products provided to shareholder-employees, an unclassified benefit will arise unless the benefit is treated as a dividend under s [CX 17](#).

Open loop gift cards provided to employees

Open loop gift cards are prepaid cards co-branded with a credit card or other payment network processor (eg Prezzy cards). The Commissioner considers that open loop cards are e-money and money. Therefore, the provision of open loop cards by trade customer employers to non-shareholder-employees is employment income and subject to PAYE. Provision of these cards to shareholder-employees is assessable income and the tax treatment depends on the shareholder-employee's election under ss [RD 3B](#) and [RD 3C](#).

Implementation of the tax position in QB 25/07

In Operational Position [25/02](#): “Commissioner’s operational position on the FBT treatment of open loop cards provided by employers to employees” the Commissioner recognises that immediate implementation of the tax position outlined in [QB 25/07](#) would be difficult due to required changes for the taxpayer’s accounting record system. Therefore, the Commissioner confirms that IR will not apply resources for the determination of whether an employer taxpayer has applied the position outlined in QB 25/07 correctly for the PAYE periods covering 1 April 2025 to 31 March 2026. This position only applies when the employer has returned FBT on the provision of open loop cards during this period.

Note: The Commissioner has acknowledged that, in practice, employers have treated the provision of open loop cards to employees as subject to FBT rather than PAYE. To this end, the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill contains a proposed amendment that will allow employers to treat “gift cards” provided to employees as fringe benefits unless the employer chooses to treat the gift card as subject to PAYE. The proposed amendment is retrospective and will apply from 16 April 2025.

Closed loop gift cards provided to employees

Closed loop cards are prepaid cards that are specific to a particular merchant or multiple merchants at the same location, such as a shopping mall. The Commissioner’s view is closed loop cards are neither e-money nor money; as such, the trade rebate closed loop cards provided by trade customer employers to their employees are not employment income of the employees and subject to the FBT rules. These type of gift cards give rise to an unclassified benefit and FBT liability arises unless the de minimis for unclassified benefits applies. Note where the employee is a shareholder-employee, an unclassified benefit will arise unless the benefit is treated as a dividend under s [CX 17](#).

Group companies

If a group company is providing the goods, that company may choose to value the benefit as if the group were one company.

Commissioner may determine value of benefit

Where no value for a benefit from goods can be determined on any of the bases discussed above, then the value will be market value or a value determined by the Commissioner. In this case, market value is the price normally paid, at the time when the fringe benefit is received by the employee, for the fringe benefit in a sale in the open market, freely offered, made on ordinary trade terms and to a member of the public at arm’s length.

Law: IT07 ss [CX 17](#), [RD 27](#), [RD 40](#)

Last reviewed on 31 December 2025

Services liable for FBT [¶21-434]

[¶21-434]

[Click to open document in a browser](#)

The benefit of free, subsidised or discounted services is liable for FBT if the services are provided to an employee at less than normal market price to the general public, inclusive of GST. Where the services are provided to the employee by the employer and are of a type normally provided as part of the business by the employer to the public for payment, the value of the benefit is the price which the employer would customarily have charged for identical or similar services to a member of the public in ordinary arm's length trade at the same time.

Where the transaction is not at "arm's length", the fringe benefit value will be the value of those services to the general public. Where the amount paid by the employee for the services is not less than the normal market price to the general public, there is no liability for FBT. Where no value for a benefit from services can be determined on any of the bases discussed above, the value will be market value or a value determined by the Commissioner. Market value is the price normally paid, at the time when the fringe benefit is received by the employee, for the fringe benefit in a sale in the open market, freely offered, made on ordinary trade terms and to a member of the public at arm's length.

A person who provides services to an employee belonging to a group of employees is treated as providing the same or similar services to the public in the open market on ordinary trade or professional terms if the person provides the same or similar services to a group of persons who are comparable in number to the group of employees in question. For this treatment to apply, the services provided to the comparable group must have been negotiated on an arm's length basis. If these conditions are satisfied, the value of the services provided to the employee will be nil.

Law: IT07 ss [RD 27](#), [RD 41](#)

Last reviewed on 31 December 2025

Employer-issued crypto-assets [¶21-436]

[¶21-436]

[Click to open document in a browser](#)

IR has released a series of rulings dealing with payments made to employees in crypto-assets. [BR Pub 23/04](#): “Income tax — salary and wages paid in crypto-assets” (which replaced [BR Pub 21/01](#)), provides that, where an employee is paid part of their regular remuneration in crypto-assets, this is subject to PAYE and, as such, the FBT rules will not apply. [BR Pub 23/05](#): “Income tax — bonuses paid in crypto-assets” (which replaced [BR Pub 21/02](#)), concludes the payment of an amount of crypto-assets to an employee as an incentive or bonus is also subject to the PAYE rules ([¶13-198](#)).

However, an unclassified benefit may arise where crypto-assets issued by an employer are provided to an employee, and this is considered in [BR Pub 23/06](#): “Income tax — employer-issued crypto-assets provided to an employee”. In particular, the ruling covers the situation where the crypto-assets are subject to the condition that the employee must remain an employee at a specified date in the future to become entitled to the crypto-assets and cannot sell or otherwise transfer the crypto-assets until the specified future date.

The crypto-asset industry is still evolving and there is currently no standard terminology used. The ruling uses the term “crypto-asset” to cover digital assets that use cryptography and blockchain technology to regulate their generation and verify transfers (sometimes also referred to by other terms, including “cryptocurrencies” and “tokens”).

The ruling concludes that a fringe benefit will not be provided until the conditions are met and the employee becomes entitled to the crypto-assets. For example, if transfer of the crypto-assets is subject to an employee remaining in employment for 6 months or meeting certain performance targets, there will be no benefit for FBT purposes until those conditions are satisfied and the employee becomes entitled to the crypto-assets. Any such fringe benefit is an unclassified benefit.

The Commissioner’s view is that crypto-assets are “goods” for the purposes of the valuation methodology in [s RD 40](#) for the situation where an employer provides an employee with “goods” the employer has produced. Where the employer is selling its crypto-assets to arm’s length buyers at the time the crypto-assets are provided to the employee, the value of the fringe benefit will be the lowest price for which the employer was selling identical crypto-assets to arm’s length buyers in the open market in New Zealand.

Where the employer is not selling the crypto-assets at the time they are provided to the employee, [s RD 40](#) will not apply. However, if at the time the crypto-assets are provided to the employee they can be purchased on the open market, the value of the fringe benefit is determined under [s RD 27\(3\)](#). The value will be the price normally paid on the open market.

In any other circumstances, the Commissioner will need to determine the value of the fringe benefit. The ruling sets out how valuation should be determined in that case as follows (at [31]):

“# Where the crypto-assets are provided to the employee before sale to the public, the employer should use the price at which the crypto-assets will first be sold to the public if such a price has been determined. For example, if the crypto-assets will initially be sold to the public as part of an ICO [Initial Coin Offering] at \$1 per token, crypto-assets provided to employees before the ICO should also be valued at \$1. Where the first public sale price has not yet been determined, the employer can use a value based on the last arm’s length sale price (if applicable). For example, if seed capital has been invested in return for a share of crypto-assets, a crypto-asset value could be determined from this.

Where the crypto-assets are provided to the employee after the employer has ceased selling to the public but before there is an established market for the crypto-assets, the employer should use the price at which the crypto-assets were last sold to the public.

If none of the above situations apply, the employer should contact Inland Revenue to discuss their particular situation.”

The commentary to the ruling also considers 2 similar situations where the employee is not required to meet any conditions to be entitled to the crypto-assets.

Where crypto-assets are transferred to the employee without any conditions, a benefit will be provided for FBT purposes at the time of transfer.

Where the crypto-assets are transferred to the employee subject to restrictions on their sale (eg the crypto-assets cannot be sold for 3 months), a benefit would be provided for FBT purposes at the time the employee becomes legally entitled to receive the crypto-assets (regardless of any restrictions on disposal). This is different from the situation in the ruling where the employee does not become legally entitled to the crypto-assets until certain conditions are met. This also applies if the crypto-assets are not physically provided to the employee but are held on trust for the employee until the restricted sale period is over.

The ruling also contains a number of examples.

Law: IT07 ss [RD 27](#), [RD 40](#)

Last reviewed on 31 December 2025

Subsidised transport liable for FBT [¶21-440]

[¶21-440]

[Click to open document in a browser](#)

Employers who carry on a business that includes transporting the public for hire or reward (ie travel by air, bus, rail or sea passenger transport with the exclusion of motor vehicle) and who allow their employees to travel at a reduced rate, or at no cost at all, are subject to FBT. A benefit is also provided if the transport is provided by a company that is in the same group of companies as the employer and the group company is in the business of public transport.

Some forms of transport paid for by an employer are exempt from FBT from 1 April 2023. See [¶21-655](#) for the exemption in respect of certain public transport fares and [¶21-660](#) for commentary on the exemption for self-powered and low-powered transport vehicles.

Value of benefit

The value of the benefit for fringe benefit purposes is 25% of the highest amount charged by the employer to the public for transportation of the same class, extent and occasion.

When transportation is provided to an employee by a third party with whom the employer has entered into an arrangement for that benefit to be provided, the value of the benefit for FBT purposes is the greater of:

- # 25% of the highest amount charged by the third party to the public for transportation of the same class, extent and occasion
- # 25% of the highest amount charged by the employer to the public for transportation of the same class, extent and occasion, and
- # the amount that the employer is liable to pay or has paid to the third party for the benefit being provided by the third party.

The above amounts are determined on a GST-inclusive basis.

“Class” refers to the classes of transportation available, such as first, business or economy class; “extent” refers to transportation with the same departure and destination points; and “occasion” refers to the time of carriage.

If an employee makes a contribution towards the cost of the subsidised transport, the value of the benefit is reduced by that amount.

Example:

An airline employee takes an overseas holiday on his employer's airline, travelling economy class. The highest price charged to the public for travel of the same class at that time is \$650. The employee pays \$200.

Highest fare charged to the public for the same flight	\$650
25% of the highest fare (ie value of the benefit)	\$162.50

Because the employee is paying more than the value of the benefit (\$200 compared with \$162.50) the taxable value of the benefit is nil and no FBT is payable by the employer.

Example:

An airline employee takes an overseas holiday on an airline that has an agreement with her employer. The highest price charged to the public for travel of the same class at that time is \$650. Under the agreement, the employee's airline pays \$325 to the other airline.

Highest fare charged to the public for the same flight	\$650
25% of the highest fare	\$162.50

Price paid by the employer

\$325

The price paid by the employer is greater than 25% of the highest fare. The taxable value of the benefit is \$325. (If the employee pays the employer \$200 as a contribution to the fare, the taxable value of the benefit is $\$325 - \$200 = \$125$.)

Employer not carrying on transport business

When an employer is not carrying on a public transport business, it would appear that cheap or free carriage of employees by a third party (whether a public transport operator or not) under an arrangement is not a subsidised transport benefit if the travel is to enable the employee to perform their employment duties ([¶21-644](#)). This does not apply if the third party provider is a company in the same group of companies as the employer and the group company is in the public transport business.

Law: IT07 ss [CX 2\(1\)\(b\)\(i\)](#), [CX 9](#), [RD 33](#), [RD 54](#), [YA 1](#) ("[subsidised transport](#)")

Last reviewed on 31 December 2025

Unclassified benefits: records required for FBT purposes [¶21-500]

[¶21-500]

[Click to open document in a browser](#)

Records should be kept for gifts and prizes, subsidised or discounted goods below cost, subsidised or discounted services, and subsidised or discounted transport. In respect of each benefit, records may show:

- # date of transaction
- # name of employee receiving the benefit
- # description of the benefit provided
- # cost to employee
- # cost to employer where goods are provided
- # normal market price where services are provided, and
- # highest price charged to the general public where subsidised transport is provided.

Law: TAA s [22\(2\)\(i\)](#)

Last reviewed on 31 December 2025

FBT — frequent flyer and membership reward schemes

[¶21-505]

[¶21-505]

[Click to open document in a browser](#)

In a bid to attract more customers, airlines and other organisations offer benefits through the membership of schemes variously known as “frequent flyer schemes”, “loyalty programmes” and “membership reward programmes”. For example, members of a frequent flyer scheme are granted points once they have travelled a predetermined number of kilometres or miles on an airline. Points can be exchanged for free travel, goods, or services, depending on the terms of the particular scheme. In some cases, employers may be exposed to an FBT liability if they become involved in negotiations or discussions with the airline or credit card company as to the amount or level of benefits provided to employees.

IR has issued a number of rulings (most of which have expired) in relation to employees participating in or receiving entitlements under reward schemes using employer-related charge or credit cards. Generally, the view expressed in these rulings is that the employer is not liable for FBT on the benefits arising to the employee in these circumstances. However, there will be an FBT liability if the employer has entered into an “arrangement” with the promoter of the scheme to benefit employees. Similarly, if any membership fee to join a programme is paid for by the employer, the fee paid will be subject to FBT (but not any entitlements received by the employee under the programme). See binding public ruling [BR Pub 99/5](#) and binding product rulings [BR Prd 00/02](#) and [BR Prd 98/7](#). A product ruling has been issued for the Air New Zealand Airpoints Programme of Airpoints Dollars: see [BR Prd 09/09](#). This ruling applied for the period 1 April 2009 to 31 March 2014.

Law: IT07 s [CX 2\(2\)](#)

Last reviewed on 31 December 2025

FBT — employee's home telephone [¶21-510]

[¶21-510]

[Click to open document in a browser](#)

IR's policy on the situation where an employer pays for an employee's home telephone costs is as follows (*Tax Information Bulletin* [¶48-106 Vol 4, No 8](#), April 1993 at 4):

If the employee is liable for the cost of the telephone, but the employer pays it, the employee is liable for income tax on any amount that the employer pays which is not an exempt reimbursing allowance under s [CW 17](#). The employer must deduct PAYE from such amounts.

If the employer is liable for the cost of the telephone, the proportion of the rental which relates to private use will be subject to FBT.

This policy also applies to mobile telephones, pagers and internet connections.

An exemption may apply for cellphones and laptop computers provided to employees ([¶21-650](#)).

Retention of income tax records

Employers must keep a schedule of employees for whom they pay the rental of a home telephone. This schedule must be kept with FBT and PAYE records and must contain: the employee's name and address, the amount of employer contribution to telephone cost, and a statement of the employment-related use of the telephone.

Last reviewed on 31 December 2025

FBT — employer-paid child care [¶21-515]

[¶21-515]

[Click to open document in a browser](#)

The FBT implications of an employer either paying child care agencies directly for the care of employees' children or of reimbursing employees for the cost of the child care are as follows (*Tax Information Bulletin* [¶52-119 Vol 5, No 2](#), August 1993 at 11):

Where an employer pays or has a liability to pay for the child care provided to an employee's children, the employer must pay FBT on that benefit.

Where the cost of the child care is paid to the employee by way of reimbursement, the amount of the reimbursement will be taxable in the hands of the employee, so the employer must deduct PAYE from the reimbursement.

Where child care facilities are provided by an employer on the employer's premises, the value of that child care is not taxable to the employee, neither is FBT payable by the employer. The provision of the facility does not come within employment income, so it is not taxable to the employee. Section [CX 23](#) specifically exempts from FBT any benefit supplied to the employee on the employer's premises ([¶21-624](#)).

Last reviewed on 31 December 2025

Expatriate home leave travel and FBT [¶21-520]

[¶21-520]

[Click to open document in a browser](#)

IR's policy on expatriate home leave travel is that employers who are New Zealand taxpayers are liable for FBT on travel benefits provided to their expatriate employees (and/or associated persons of those employees) to enable them to take recreational leave overseas.

Travel benefits are "benefits" under the definition of "fringe benefit" because they advantage expatriate employees (both directly and relative to other employees) by enabling them to take leave overseas and removing the need for them to pay for their own holiday travel. See [¶21-608](#) and [¶21-644](#) for exceptions to this rule.

Travel benefits can be one of 2 types of fringe benefit:

- # "subsidised transport", which is travel provided at nil or lower than normal price by an employer or a company that is in the same group of companies as the employer, who carries on the business of general public carriage or transportation (s [CX 9](#) — see [¶21-440](#)), or
- # any unclassified benefit received by the employee when the benefit is received in connection with the employee's employment (s [CX 37](#) — see [¶21-510](#)).

Example:

An accountant employed by the London branch of an international accounting firm is seconded to Wellington to work for its New Zealand associates for 2 years. The accountant, her spouse and child rent a house in Wellington and get tenants for their London house. The secondment contract with the New Zealand associate says that after 9 months' service the employee qualifies for 3 weeks' annual leave and free return air travel to Great Britain for her and her family. This travel benefit does not replace a need for the employer to reimburse the accountant for transport costs she would have incurred in travelling between home and work. Her "home" is the Wellington house, not the London property. The travel relates to recreation, not "the purposes of that employment", and costs of holiday travel are not costs she would otherwise be required to incur for the benefit or the convenience of the employer in relation to that employment.

Example from *Tax Information Bulletin* [¶51-107 Vol 5, No 1](#), July 1993 at 7.

Law: IT07 ss [CX 9](#), [CX 37](#)

Last reviewed on 31 December 2025

FBT and personal development courses [¶21-525]

[¶21-525]

[Click to open document in a browser](#)

Payments made by an employer for an employee to undertake a personal development course, as opposed to a specific work-related course, may be subject to FBT. FBT is payable if the course has more to do with the employee's personal development than acquiring a skill to be used in their job. However, where there is a reasonable link between the skill to be acquired and the employee's role in employment, no FBT liability will arise.

Examples: Courses paid by employers

Adam works for ABC Ltd. Part of his job is to make presentations to clients. His employer has agreed to pay Adam's expenses for Toastmasters so that he can develop his public speaking skills. In this situation, there is a reasonable link to Adam's work, therefore no FBT liability arises.

Gretchen works as a panel-beater. She is going on holiday to Japan and has decided to learn Japanese. Her employer has agreed to pay for her foreign language course. As there is no reasonable link between the language course and the work Gretchen does, the cost of the course is subject to FBT.

Examples reproduced from IR's newsletter *FBT News*, Issue 4, September 2003.

Last reviewed on 31 December 2025

Life insurance premiums and FBT [¶21-535]

[¶21-535]

[Click to open document in a browser](#)

Only some employer contributions to life insurance are subject to FBT. There is a fine distinction as to when an FBT liability arises. FBT is payable on insurance policy premiums where an employer takes out a policy on the life of an employee and pays the premiums. However, if the employer benefits from the policy then the payments are not subject to FBT.

Before 30 March 2017, premiums paid on behalf of an employee on a life insurance policy taken out by the employer for the benefit of the employee or the employee's spouse, civil union partner, de facto partner or child were specifically included as "expenditure on account of an employee" and, therefore, employment income. PAYE was required to be paid on those amounts, unless the policy had any of the following features:

- # the premium could not be refunded or converted to cash by the employee or an associated person, and the only benefits payable under the policy were payable on the death or because of accident, disease or sickness of the beneficiary
- # the premium was paid by an employer that was a close company to the extent that the expenditure was treated as a dividend
- # the policy was part of a superannuation category 1, 2 or 3 scheme, or
- # the policy was held by or for the trustees of a superannuation category 3 scheme.

If the policy fell into any of the above categories, then FBT had to be considered. A further consideration under the FBT rules was whether the life insurance policy was a specified insurance policy (able to be attributed to a specific employee) or an unclassified benefit.

From 30 March 2017, all life insurance policies are to be treated as specified insurance premiums as opposed to unclassified benefits.

Questions we've been asked

IR has released a number of QWBAs dealing with the income tax treatment of various insurance policies that consider the application of FBT ([¶21-540](#)).

[QB 18/02](#): "Income tax — Insurance — Term life insurance policy taken out by employee with employer paying the premiums on employee's behalf" concludes that the amount of the premiums in that scenario is deductible to the employer and subject to PAYE for the employee. FBT will therefore not apply. [QB 18/03](#): "Income tax — Insurance — Term life insurance policy taken out by employer for the benefit of an employee" concludes that the amount of the premiums in that scenario is deductible to the employer and subject to FBT.

Law: IT07 ss [CE 5](#), [CX 5\(1\)](#), [\(2\)](#), [CX 16](#)

Last reviewed on 31 December 2025

FBT — employer superannuation, health care insurance, income protection insurance and funeral trust contributions [¶21-540]

[¶21-540]

[Click to open document in a browser](#)

FBT is applicable in respect of employer contributions to any one of the following:

- # a sickness, accident or death benefit fund
- # a funeral trust to meet employees' funeral expenses ([¶24-134](#))
- # the insurance fund of a friendly society, or
- # a superannuation scheme.

An employer-paid premium (called a specified insurance premium) under a life insurance ([¶21-535](#)) or health insurance (personal accident or sickness) policy is also classed as a fringe benefit.

Any benefits of the kind referred to above are not classified as fringe benefits to the extent that they are assessable income of the employee. This ensures that employer contributions to a sickness, accident or death benefit fund approved for the purposes of the exempt income provisions; employer-paid specified insurance premiums; and employer contributions to an insurance fund of a friendly society for the benefit of employees; are not subject to double taxation.

Employer's superannuation cash contributions are specifically excluded from the FBT regime ([¶21-574](#)).

An amendment effectively removes employer contributions to foreign superannuation schemes from the ambit of FBT, unless the employer of a cross-border employee chooses to treat a cash contribution as an employer's superannuation cash contribution. The amendment came into force on 1 April 2024 ([¶21-574](#)).

Income protection insurance

A full payment or contribution by the employer to an employee's premium for income protection insurance (which is for the benefit of an employee) is not a fringe benefit if the payment of the insurance to the employee would be the employee's assessable income.

Questions we've been asked

IR has released a number of QWBAs dealing with the income tax treatment of various insurance policies that consider the application of FBT ([¶21-535](#)).

[QB 17/10](#): "Income tax and fringe benefit tax — Insurance — Group insurance policy taken out by employer for the benefit of an employee" concludes that payment of the premium under most group insurance policies (life or accident/medical or both) will be a fringe benefit as the payment of a specified insurance premium under s [CX 16](#). In the event that a group insurance policy does not come within s [CX 16](#), however, the item concludes it will still be an unclassified benefit under s [CX 37](#).

[QB 18/04](#): "Income tax — Insurance — Personal sickness and accident insurance taken out by employee with employer paying the premiums on employee's behalf" concludes the amount of the premiums is deductible to the employer and generally subject to PAYE. FBT will not apply because the policy belongs to the employee.

[QB 18/05](#): "Income tax — Insurance — Personal sickness and accident insurance taken out by employer for the benefit of an employee" concludes the premiums paid will be subject to FBT unless they are premiums paid for income protection insurance where the employer has a liability to pay (or contribute to) the premiums, and a pay-out under the insurance policy would be assessable income of the employee.

See [¶3-185](#) for additional discussion of these QWBAs.

Law: IT07 ss [CX 2\(1\)\(b\)\(i\)](#), [CX 13–CX 16](#), [CX 31](#), [RD 37](#), [RD 38](#)

Last reviewed on 31 December 2025

Expenses of members of Parliament and FBT [¶21-545]

[¶21-545]

[Click to open document in a browser](#)

Any travel, accommodation and communications services paid or provided to the Prime Minister or a former Prime Minister, other Ministers of the Crown, parliamentary Under-Secretaries, or members or former members of Parliament, or to any member of their families, are subject to FBT to the extent to which the services are exempt income under s [CW 31](#) ([¶15-598](#)). This covers the payment of money or allowances for travel, accommodation and communications services and the provision thereof to any member of the family (including a wife, husband, partner, widow, widower, or children) of a member of Parliament as well as any other means of meeting the travel, accommodation and communications needs or obligations of members of Parliament.

A reasonable estimate may be made to determine how much of the benefit is subject to FBT.

Law: IT07 ss [CX 2\(1\)\(b\)\(i\)](#), [CX 12](#), [CX 33B](#)

Last reviewed on 31 December 2025

FBT — de minimis exemption in respect of unclassified benefits [¶21-555]

[¶21-555]

[Click to open document in a browser](#)

Where the value of benefits provided to an employee that come within the “unclassified benefits” category ([¶21-425](#)) is below a certain threshold, FBT will not apply. If the value of the benefits exceeds the threshold, FBT is payable on the total value of the benefits including any amount below the threshold.

For employers paying FBT on a quarterly basis, no FBT is payable provided that:

- # the total taxable value of unclassified benefits provided in the quarter to each employee does not exceed \$300, and
- # the total taxable value in the last 4 quarters, including the current quarter, of all “unclassified benefits” provided by the employer, or an associated person, to all of the employer’s employees does not exceed \$22,500.

For employers accounting for FBT on an annual or income-year basis, the total taxable value of unclassified benefits must not exceed:

- # \$1,200 per employee pa, and
- # \$22,500 per employer pa.

Example:

TP is employed at a garage and pays \$350 for tyres for his spouse. The tyres have a wholesale price of \$600 and a retail price of \$820. TP’s employer has provided more than \$22,500 of unclassified benefits to all of its employees in the last 4 quarters, including the current quarter. There is no exemption from FBT as the total value of the tyres supplied to TP’s spouse exceeds the \$300 per quarter FBT exemption and the employer has provided more than \$22,500 of unclassified benefits to all employees in the last 4 quarters. Assume FBT is paid at 49.25%. The taxable value of the fringe benefit is:

	\$
Cost to the employer	600
less employee contribution	<u>350</u>
	<u>250</u>

The FBT payable is \$123.13 (ie 49.25% of \$250).

Benefits provided to an employee by a person associated with the employer are included in calculating the thresholds outlined above. However, unclassified benefits provided by an employer’s associate to the employees of that associate will not be counted towards the threshold, provided that the employer and the associate are not part of the same group of companies (s [RD 45](#)).

Law: IT07 ss [CX 2\(1\)\(b\)\(ii\)](#), [CX 37](#), [RD 45](#)

Last reviewed on 31 December 2025

Exclusion from FBT — employee share loans [¶21-568]

[¶21-568]

[Click to open document in a browser](#)

An employee share loan is excluded from the definition of fringe benefit.

An employee share loan meets the following criteria:

- # the purpose of the loan must be to enable the employee (and not an associate) to acquire shares in the employer (or a company associated with the employer)
- # the loan must be used for that purpose only
- # the shares must be beneficially owned by the employee at all times during the currency of the loan
- # the loan must include a condition that the employee must immediately repay the loan in full if the employee stops being the beneficial owner of the shares
- # the company issuing the shares maintains a dividend paying policy
- # the company issuing the shares is not a qualifying company throughout the term of the loan
- # the employer and employee are not associated persons, and
- # the employee share loan is not made under an exempt employee share scheme (ESS).

An employee share loan also applies to a loan for the purchase of rights or options in the company.

Employee share loans exclusion and associates of the employee

QWBA [QB 24/03](#): “Fringe benefit tax — employee share loans and associates” considered whether a fringe benefit arises where a trustee of a family trust that is associated with an employee is provided a loan to acquire shares under an ESS. The Commissioner’s view is that the employee share loans exclusion can apply provided a fringe benefit would not arise if the employee were provided the loan to acquire the shares under the ESS in the same circumstances.

Law: IT07 ss [CX 10\(2\)\(a\)](#), [CX 35](#)

Last reviewed on 31 December 2025

Exclusion from FBT — superannuation cash contributions [¶21-574]

[¶21-574]

[Click to open document in a browser](#)

Employer's superannuation cash contributions are excluded from the FBT regime. Employer's superannuation cash contributions are contributions paid in money by an employer for the benefit of their employees to a "superannuation fund" (ie a retirement scheme (within the meaning of s [6\(1\)](#) of the Financial Markets Conduct Act 2013), and for a retirement scheme that is a trust, the trustees of the retirement scheme) or a KiwiSaver scheme registered under the KiwiSaver Act 2006.

Also excluded from the definition of fringe benefit are benefits in the form of the provision of services to a superannuation fund to the extent that those would have been allowed as a deduction if the expenditure had been incurred by the fund.

From 1 April 2024, employer contributions to foreign superannuation schemes for cross-border employees have been effectively removed from the ambit of FBT. The way the legislation is worded, these cash contributions may be treated as superannuation cash contributions if the employer of a cross-border employee chooses to treat the payment as such. Therefore, employers of cross-border employees have 2 options when making a superannuation cash contribution. These are to either choose to be subject to FBT or employer's superannuation contribution tax (ESCT). Then if ESCT treatment is chosen, the employer can choose to treat it as salary or wages under s [RD 68](#).

Law: IT07 ss [CX 13\(2\)](#), [CX 32](#), [RD 65\(1\)\(b\)](#), [YA 1](#) ("employer's superannuation contribution")

Last reviewed on 31 December 2025

Exemption from FBT — employee tax return preparation [¶21-584]

[¶21-584]

[Click to open document in a browser](#)

Assistance in preparing an employee's tax return is exempt from FBT. The exemption applies to the extent that the expenditure incurred in providing the assistance would have been deductible if incurred by the employee under s [DB 3](#) ([¶10-920](#)). An employee's return includes the income information included in a pre-populated account under s [22D](#) of the TAA.

Example:

A company pays its tax advisers to prepare the tax returns of its senior managers. The expenditure is not subject to FBT.

Law: IT07 s [CX 27](#)

Last reviewed on 31 December 2025

FBT — charitable organisations [¶21-588]

[¶21-588]

[Click to open document in a browser](#)

Charitable organisations are generally exempt from paying FBT on any benefits provided to employees while they are carrying out the organisation's charitable activities, but care needs to be taken when analysing the nature of employee's activities undertaken in the name of the charity.

Charitable organisations are liable for FBT to the extent that any fringe benefits provided are part of the organisation's business activities that are outside its benevolent, charitable, cultural or philanthropic purposes.

A qualifying charitable organisation may carry on a business activity within (or outside) its benevolent, charitable, cultural or philanthropic purposes. The distinction between activities that are within, or outside of, the qualifying organisation's benevolent, charitable, cultural, or philanthropic purposes is specific to the FBT exclusion. It is not a distinction that is relevant for income tax purposes or when determining whether an organisation is a charitable entity for the purposes of the Charities Act 2005.

Public binding ruling [BR Pub 22/06](#): "Fringe benefit tax — Charitable and other donee organisations and fringe benefit tax" applies to the provision of a non-monetary benefit by a charity, or other donee organisation, to an employee of that organisation. [BR Pub 22/06](#) applies for an indefinite period from 1 July 2022. The ruling concludes that where benefits are received mainly in connection with employment, to the extent an employee is engaged in activities carrying out a charitable organisation's benevolent, charitable, cultural or philanthropic purposes (including the carrying on of a business activity), benefits provided to them will not attract FBT. However, to the extent a qualifying organisation's (see below) employee is engaged in business activities of the organisation that are not of themselves benevolent, charitable, cultural or philanthropic, any benefits provided to the employee will not fall within the exclusion provided by s [CX 25](#), and so may attract FBT.

In addition, the Commissioner considers that the phrase "to the extent to which" in s [CX 25\(1\)](#) contemplates apportionment. This means where a benefit is provided mainly in connection with an employee's employment, the benefit is subject to FBT only to the extent to which the employment is in a business activity of the charitable organisation that is outside its benevolent, charitable, cultural or philanthropic purposes. This means that some organisations may need to apportion fringe benefits where employees are engaged in business activities both within and outside the organisation's benevolent, charitable, cultural or philanthropic purposes.

Qualifying organisations

The exclusion applies to "charitable organisations". This term is defined in s [YA 1](#). It includes any associations, funds, institutions, organisations, societies or trusts that are not carried on for the pecuniary profit of an individual and whose funds are applied wholly or mainly to benevolent, charitable, philanthropic or cultural purposes. Local authorities, public authorities and universities are specifically excluded from the definition. For ease of reference, [BR Pub 22/06](#) refers to these organisations as qualifying organisations. In the fact sheet [BR Pub 22/06 FS](#), which accompanies the ruling, a flow diagram assists in determining whether an entity is a qualifying organisation.

Scope of the exemption

Once it is determined that the organisation qualifies as a charitable organisation, the next step is to analyse the elements of the exemption in s [CX 25](#). The ruling contains detailed commentary on the analyses of the elements. There is a specific exclusion for short-term charge card facilities provided to employees. See commentary below.

In summary, where a non-monetary benefit is provided to an employee of a qualifying organisation:

A fringe benefit is not provided where the benefit is not received mainly in connection with their employment.

A fringe benefit is not provided where the benefit is received mainly in connection with their employment to the extent that:

the employee is employed in carrying out the qualifying organisation's benevolent, charitable, cultural or philanthropic purposes, or

the employee is employed in a business carried on by the qualifying organisation, where the business activity is within the organisation's benevolent, charitable, cultural or philanthropic purposes.

A fringe benefit is provided where the benefit is received mainly in connection with the employee's employment, to the extent that the employee is employed in a business carried on by the qualifying organisation, where the business activity is outside the organisation's benevolent, charitable, cultural or philanthropic purposes. This is the case regardless of whether business profits are applied to the organisation's benevolent, charitable, cultural or philanthropic purposes.

The ruling contains a flow diagram that summarises the approach to take to decide whether the exclusion in s [CX 25](#) applies.

Short-term charge facilities

[BR Pub 22/06](#) also comments on a second exception to the exemption, contained in s [CX 25\(2\)](#). Benefits provided by qualifying organisations to an employee by way of short-term charge facilities, like credit cards, charge cards and fuel cards, are covered by s [CX 25\(2\)](#).

A charitable organisation will be subject to FBT on the provision to an employee of short-term charge facilities if the facilities provided to the employee in a tax year are more than the lesser of:

- # 5% of the employee's salary or wages, and
- # \$1,200.

Briefly, a short-term charge facility is an arrangement that enables an employee of the charitable organisation to obtain goods or services that have no connection with the organisation or its operations and the liability for the payment of the goods or services obtained is placed on the organisation. The goods or services may be obtained by way of buying, hiring or charging the cost to an account. Short-term charge facilities include vouchers (for example, supermarket vouchers). A short-term charge facility does not include an employment-related loan ([¶21-340](#)).

For a charitable organisation that pays FBT on a quarterly basis, the 5% threshold is determined from the beginning of the tax year to the end of the quarter (the measurement period). There is no FBT payable if the total value of short-term charge facilities provided to the employee in the measurement period is less than 5% of the employee's salary or wages for the tax year. As soon as the threshold is exceeded, FBT is payable on the total amount of the facilities provided in the measurement period and in each quarter thereafter (assuming the threshold continues to be met).

Value of benefit

The value of the benefit of providing a short-term charge facility is calculated by adding all of the following items:

- # the amount paid by the organisation for or towards the purchase or hire of the goods and services obtained under the short-term charge facility
- # interest incurred on the purchase or hire of the goods and services, and
- # if the facility is a credit card or charge card provided for the employee's use solely for purposes that are not connected with the organisation or its operations, account or service fees on the card.

Law: IT07 ss [CX 25](#), [YA 1](#) ("[business](#)", "[charitable organisation](#)")

Last reviewed on 31 December 2025

Exclusion from FBT — employees of non-resident employers [¶21-594]

[¶21-594]

[Click to open document in a browser](#)

Excluded from the definition of fringe benefit are benefits received by an employee who receives PAYE income payments that are not assessable in New Zealand in that FBT period. When a non-resident employee works in New Zealand for a non-resident employer, the employee's PAYE income payments may be exempt in New Zealand under the Act or under provisions of a double tax agreement. The exclusion from FBT is intended to address this situation so that any non-monetary benefits provided to such employees are not subject to FBT (*Tax Information Bulletin* ¶176-106 Vol 7, No 6, December 1995 at 8).

IR has set out its views on the application of the PAYE and FBT rules to non-resident employers in an operational statement, [OS 21/04](#): "Non-resident employers' obligations to deduct PAYE, FBT and ESCT in cross-border employment situations". The operational statement applies from 1 December 2021.

An employer who is not New Zealand tax-resident will have an obligation to account for New Zealand PAYE on amounts paid to an employee if:

- # the employer has a sufficient presence in New Zealand, and
- # the services performed by the employee are properly attributable to the New Zealand presence.

The requirement to deduct PAYE will not apply (even if the above 2 conditions are met) if the employee is exempt from tax under s [CW 19](#) (¶26-420) or if a relevant double tax agreement (DTA) provides the employee relief from taxation.

Relief from PAYE obligations will also apply if the amount is non-resident's foreign-sourced income of the employee. This is a payment that is not sourced in New Zealand and derived while the employee is non-resident for New Zealand tax purposes.

Similarly, a non-resident employer may also face FBT and ESCT obligations if the employer has a sufficient presence in New Zealand and the services performed by the employee are properly attributable to the employer's New Zealand presence.

Note: A proposed amendment contained in the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill will exempt certain fringe benefits received by non-resident visitors who meet certain conditions from FBT. Broadly, a natural person will qualify as a "non-resident visitor" if they are in New Zealand for 275 days or less in an 18-month period and who is not performing work for a New Zealand-resident employer (or a New Zealand branch of an overseas employer). Certain other requirements must be met. The proposed amendment is intended to apply from 1 April 2026.

Developments for cross-border employment situations

Certain fringe benefits received by a non-resident employee are not subject to FBT if the benefit does not relate to a period of work in New Zealand (s [CX 26\(2\)](#)). The rule rectifies the situation that can arise where an employee who has lost their New Zealand tax residency receives a trailing payment from their employer. If that payment is subject to New Zealand tax, any fringe benefits provided are subject to FBT if provided in the same period as the trailing payment. However, a legislative amendment provides that with effect from 1 April 2024, FBT is payable only to the extent that the benefit relates to time spent in New Zealand.

Safe-harbour for non-resident employers

From 1 April 2023, a safe-harbour provision applies if a non-resident employer has incorrectly determined that they do not have a sufficient presence in New Zealand (¶26-430). If the requirements of the safe-harbour are met, the employer will not face penalties and interest on any unpaid employment taxes. The safe-harbour requirements are that the non-resident employer has:

- # 2 or fewer employees in New Zealand at any point in the relevant income year, or \$500,000 or less in gross New Zealand employment-related taxes for the income year, and
- # the employer takes reasonable measures to manage their employment-related tax obligations within 60 days of a relevant breach.

In addition, from 1 April 2023, an employer has a 60-day grace period to meet or correct the PAYE, FBT or ESCT obligations for an employee where the conditions of a tax exemption (like those set out in s [CW 19](#)) have been breached ([13-367](#)).

Flexibility for cross-border employees

If a cross-border employee receives a fringe benefit in relation to a period when they are providing employment services in New Zealand, the employer and employee may agree that the employee is liable for the employment-related taxes and document this in an agreement. If this is the case, the value of the fringe benefit is treated as a PAYE income payment and PAYE applies to the value of the benefit (s [RD 62B](#)). This concession is available from 1 April 2023. A “cross-border employee” is defined in s [YA 1](#).

Example:

Wotan Industries is an overseas incorporated company which provides software services to clients around the world. Freyja, an employee of Wotan, decides for personal reasons to relocate to New Zealand and agrees with her managers that she will work for Wotan from New Zealand.

At the time of the relocation, Freyja is the sole employee working in New Zealand. Her work has no necessary connection to New Zealand (that is, it does not need to be done from New Zealand, nor is it for New Zealand clients). Her work will not result in a permanent establishment for Wotan Industries in New Zealand.

Wotan determines that it does not have a sufficient presence in New Zealand. As such, Wotan decides it will not register as an employer in New Zealand for tax purposes. Instead, her manager agrees that Freyja will be responsible for the payment of taxes on her employment income and record this agreement as a condition of the transfer.

Freyja is paid monthly. In addition to a salary, Wotan pays a monthly employer superannuation contribution to its pension scheme (which is a foreign superannuation scheme for New Zealand tax purposes). Wotan also pays an annual medical insurance premium to the provider of Freyja’s choice. Freyja chooses a New Zealand medical insurer.

Wotan Industries’ responsibility is to provide the amounts paid to the foreign superannuation scheme and medical insurer to Freyja. Freyja’s responsibility is to include the amounts paid in her IR 56 returns and pay the taxes due. The annual payment of medical insurance will be included as PAYE income, as Freyja is not required to file and pay FBT. The monthly superannuation contributions will be captured as subject to ESCT in her IR 56 return.

(Example reproduced from *Tax Information Bulletin* [1356-102 Vol 35 No 6](#), July 2023, p 45).

Law: IT07 ss [CX 26](#), [RD 62B](#), [YA 1](#) (“cross-border employee”); TAA ss [120B\(bc\)](#), [141ED\(11B\)](#)

Last reviewed on 31 December 2025

Exclusion from FBT — assessable income [¶21-604]

[¶21-604]

[Click to open document in a browser](#)

Any benefit provided in connection with an employee's employment which is otherwise included in the assessable income of the employee concerned is not a benefit for FBT purposes. For example, an accommodation allowance included as employment income ([¶15-051](#) and [¶15-290](#)) is excluded as a fringe benefit.

Law: IT07 s [CX 4](#)

Last reviewed on 31 December 2025

Exclusion from FBT — exempt allowances [¶21-608]

[¶21-608]

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A benefit is not a fringe benefit to the extent to which it is exempt income.

A benefit provided to an employee in connection with the employee's employment is also not a fringe benefit to the extent to which it removes the need that would otherwise exist for the employer to pay the employee an allowance of one of the following kinds:

- # a reimbursing allowance that would have been exempt income under s [CW 17](#) ([¶3-435](#)), unless paid to enable the employee to provide a benefit to another person
- # a reimbursing allowance for additional travel costs attributable to one or more of the factors in s [CW 18\(3\)](#) ([¶3-445](#))
- # an amount that would have been exempt income under s [CW 17B](#) (Relocation payments) ([¶3-446](#))
- # an amount that would have been exempt income under ss [CW 16B](#) to [CW 16F](#), [CW 17CB](#), [CW 17CC](#), and [CW 17D](#) (which relate to certain expenditure of an employer on an employee's accommodation, work-related meals, relocation, clothing, and health and safety) ([¶3-425](#), [¶3-430](#) and [¶3-448](#)).

In addition, a benefit is not a fringe benefit if it:

- # is in substitution for an allowance described in the second bullet point above
- # is brought about because the employee has a temporary change in workplace
- # reimburses the employee for transport costs that would have been incurred for travel for one or more of the employee's spouse, civil union or de facto partner and relatives to visit the employee at the temporary workplace, and
- # has a value not exceeding the amount that would be provided under the allowance.

Law: IT07 ss [CX 5\(1\)](#), [\(2\)](#), [CX 19](#)

Last reviewed on 31 December 2025

Value of accommodation not a fringe benefit [¶21-618]

[¶21-618]

[Click to open document in a browser](#)

The value of any accommodation an employer provides to an employee in connection with their employment or services is not a fringe benefit. “Accommodation” is defined as including the use of a house or living premises, or the use of part of a house or living premises, whether permanent or temporary.

Law: IT07 ss [CE 1\(2\)](#), [CX 28](#), [YA 1](#) (“[accommodation](#)”)

Last reviewed on 31 December 2025

Transport in heavy goods vehicle not a fringe benefit [¶21-620]

[¶21-620]

[Click to open document in a browser](#)

Transport of an employee in a heavy goods vehicle is not a fringe benefit (for example, an employee of a removal company picked up from home on the way to the first removal task of the day). This rule applies to transport provided to an employee in a vehicle that is not a motor vehicle ([¶21-170](#)) and is not designed principally for the carriage of passengers.

Law: IT07 ss [CX 19B](#), [YA 1](#) (“motor vehicle”)

Last reviewed on 31 December 2025

Exemption from FBT — benefit provided on employer's premises [¶21-624]

[¶21-624]

[Click to open document in a browser](#)

An employer who provides a benefit to employees that is used or consumed on the employer's premises is not liable to FBT on those benefits. This FBT exemption does not apply to free, discounted or subsidised travel, accommodation or clothing. Employers providing a benefit to employees on the employer's premises may be able to deduct only 50% of their expenditure ([¶10-402](#)).

Example:

A light lunch provided at a team meeting held on the employer's premises will be exempt from FBT and fully deductible.

The exemption from FBT for benefits provided on an employer's premises include:

- # benefits provided by the employer that are used or consumed on the premises of a company that is in the same group of companies as the employer, and
- # benefits provided by a company that is in the same group of companies as the employer (the benefits can be used or consumed by the employee on the premises of the employer or company providing the benefit).

For the purposes of this exemption, "premises" include premises that are owned or leased and premises on which an employee is required to perform employment duties. Specifically excluded are premises occupied by an employee for residential purposes.

Law: IT07 s [CX 23](#)

Last reviewed on 31 December 2025

FBT — car parks provided to employees [¶21-626]

[¶21-626]

[Click to open document in a browser](#)

The provision of a car park by an employer for an employee is usually regarded as a fringe benefit if the employee is able to park a vehicle while at work. However, a fringe benefit will not arise where the car park is part of the employer's premises.

In November 2015, the Commissioner released public rulings [BR Pub 15/11](#): "Fringe benefit tax — exclusion for car parks provided on employer's premises" and [BR Pub 15/12](#): "FBT — Exclusion for car parks provided on the premises of a company that is part of the same group of companies as an employer".

Under [BR Pub 15/11](#) and [BR Pub 15/12](#), car parks owned or leased by employers at common law continue to qualify for the "on-premises" exemption. Other car parks that an employer has substantially exclusive use of, in fact or effect, will also qualify for the exemption under the rulings — regardless of the legal form of the car parking arrangement. This means a benefit arising from the use of some (but not all) licensed car parks may now be excluded from FBT. This change is a result of the rewriting of the income tax legislation and subsequent legislative changes affecting the on-premises FBT exclusion.

The rulings apply indefinitely from 17 November 2015.

The following table contains some examples of different car parking arrangements and whether FBT will apply to them.

Car parking arrangement	Subject to FBT?
Car park is provided on land that the employer owns (whether or not the employer carries on business on or near that land).	No — exemption applies
Car park is provided on land that the employer leases (under a written and enforceable lease).	No — exemption applies
Car park is provided on car spaces leased by the employer and the employer has a right that is substantially exclusive to use the car park.	No — exemption applies
Car park is provided in a commercial car park. Employer is allocated reserved car spaces under the agreement. Employer has the right to request unauthorised vehicles to be removed from its reserved car spaces.	No — exemption applies
Employer enters into a licence agreement with a commercial car park operator. Car park is provided on an entire floor of car park that is reserved for employer's employees (signage is put up to enforce this).	No — exemption applies
Employer enters into a lease agreement with a commercial car park operator. No spaces are specifically allocated but employer has the right to use an area reserved for the employer and other businesses. Employer does not have the right to request that unauthorised vehicles be removed.	Yes — exemption does not apply
Employer pays for parking permits to an open air car park. These are displayed in the windscreen. There are no allocated car park spaces and the car park is open to the public to park in on an hourly fee basis.	Yes — exemption does not apply

Law: IT07 s [CX 23](#)

Last reviewed on 31 December 2025

FBT exemption — health or safety [¶21-628]

[¶21-628]

[Click to open document in a browser](#)

A benefit provided in respect of an employee's health or safety is exempt from FBT. For this particular exemption to apply, the benefit must:

- # relate to the employee's health and safety
- # be "aimed at managing risks to health and safety in the workplace as provided under the Health and Safety at Work Act 2015", and
- # be a benefit that would be excluded under s [CX 23](#) if it was provided on the employer's premises.

The Commissioner considers that a benefit that targets or addresses a specific harm, hazard or risk to health and safety would meet the requirement that the benefit "is aimed at managing risks to health and safety in the workplace". For example, a programme that specifically targets and manages stress would be considered FBT exempt. However, a gym membership that can be used at the employee's discretion would not qualify for the exemption because a gym membership benefits the overall health of a person and does not target a specific risk to health and safety in the workplace.

Whether a benefit is provided to manage health or safety in the workplace is a highly factual exercise. It is based on the employer's subjective assessment and identification of the actual or potential risks in that workplace.

Note: IR has released a draft item on when the exemption for health and safety benefits will apply. The draft item confirms that benefits that are directed generally towards a person's overall health (as opposed to targeting a specific health or safety risk) are unlikely to meet the criteria above. See [PUB00507](#): "When does the fringe benefit tax exclusion for benefits relating to health or safety apply?", October 2025.

Law: IT07 s [CX 24](#)

Last reviewed on 31 December 2025

FBT exemption — employer-provided clothing [¶21-634]

[¶21-634]

[Click to open document in a browser](#)

Employer-provided “distinctive work clothing” is not subject to FBT, provided the clothing identifies the employer and is worn by employees in the course of or as an incidence of their employment and would not normally be worn for private purposes.

“Distinctive work clothing” is any clothing (which may be a single item of clothing) that is worn by an employee as, or as part of, a uniform that can be identified with the employer:

- # through the permanent and prominent display of a name, logo or other identification that the employer regularly uses in carrying on its activity or undertaking, or
- # because the pattern, colour scheme or style is readily associated with the employer.

In addition, the clothing must be worn in the course, or as an incidence, of employment and must not be clothing that employees would normally wear for private purposes.

Example:

Alexa works as a retail assistant at a well-known women's clothing shop that is part of a national chain. Every season, she receives an item of clothing from her employer that is sold in the shop. The provision of the free clothing will attract FBT. This is because the clothing is generic and does not qualify as distinctive work clothing that is worn as part of a uniform identifiable with the employer.

Law: IT07 s [CX 30](#)

Last reviewed on 31 December 2025

Goods not liable to FBT [¶21-638]

[¶21-638]

[Click to open document in a browser](#)

There is no FBT liability on “discount” disposals to employees of goods that are effectively supplied at cost price. For example, a retailer who permits its employees to purchase goods at a staff discount that does not fall below the cost of the goods to the employer will not be providing any benefit. “Cost” means the GST-inclusive cost of the goods to a registered person that can claim an input tax credit for the goods.

Where the cost value of the goods is more than the retail price offered to the general public, a lower value is given. For example, where a retailer is having a clearance sale to clear old stock and reduces the price of goods for ordinary customers to below cost, the value is taken as the retail price charged, rather than the cost of the goods to the employer.

Exemptions

A fringe benefit will exist if goods are disposed of to employees at less than the price they cost the employer. There are 2 exemptions for goods that do not normally sell for more than \$200. The first relates to goods “on special”. This exemption applies so long as the sale price to the employee is greater than the lesser of:

- # 95% of the cost to the employer, or
- # 95% of the special price available to the public.

IR must also be satisfied that at the time of disposal of the special goods to the employee, a reasonable quantity of identical goods was available for purchase by members of the public.

Example:

Cut Price Books allows employees a 5% discount on the store’s selling price of any book (including books on sale). An employee purchases a book which is in store and on special at a price below cost. The employee obtains a further 5% discount. No fringe benefit arises because the price paid by the employee is not less than 95% of the price at which identical goods were available to the public.

Example reproduced from A Dickeson and M Rudd *Fringe Benefits — A Practical Guide to Managing Your Tax Costs* (6th ed) at ¶7.7.

The second exemption applies where goods are being disposed of to an employee for less than cost and are so priced as a result of the staff discount (of not more than 5% off the usual selling price).

Example:

Cookie Monster Ltd makes bulk batches of cookies for a cost of \$20. The retail price is \$30 but they are sold to staff for \$19. As the staff discount of \$1 is not more than 5% of \$30 (ie \$1.50), FBT will not be imposed.

Example:

Trixie-Belle Fashions Ltd makes leather miniskirts for a cost of \$50. The retail price is \$100 but they are sold to staff for \$40. As the staff discount of \$10 is greater than 5% of \$100 (ie \$5), there is a benefit of \$10 subject to FBT.

It should be noted that the “de minimis” exemption under s [RD 45](#) applies to most goods supplied by employers to employees ([¶21-555](#)). The exemption sets a threshold of \$300 per quarter on benefits to an employee and \$22,500 on benefits to all employees in the last 4 quarters, including the current quarter.

Exemptions are available where the goods in question are acquired not from the employer, but from another company which is part of the same group of companies as the employer. For the purpose of the exemptions, that other company is deemed to be the employer.

Discounted goods provided by third parties

There is an exemption for discounted goods provided by a person who is not associated with the employer. For this exemption to apply, the discount offered to the employee is compared to the discount that would be offered to a separate group of employees, excluding the employee group in question (the comparable group). The discount offered to the comparable group must be one that has been negotiated on an arm's length basis. The comparable group must be comparable in number to the group of employees to whom the discount is offered, excluding the employee group in question. Also, the discount offered to the employee group in question must be the same or less than the discount offered to a comparable group.

Law: IT07 ss [CX 33](#), [RD 40](#), [RD 42–RD 44](#)

Last reviewed on 31 December 2025

FBT — accommodation and travel in course of employment [¶21-644]

[¶21-644]

[Click to open document in a browser](#)

Fringe benefit tax is reduced to nil if the fringe benefit results from expenditure incurred by the employer for business-related accommodation or transport provided to an employee to enable the employee to perform their duties.

The concession is subject to the condition that the expenditure does not relate to the provision or taking of any leave or vacation and that the expenditure is not increased as a result of the benefit. If no holiday or vacation is taken during a trip, the concession applies so that incidental benefits from the trip, which do not increase the employer's expenditure, have a nil value for fringe benefit tax purposes.

Operational statement on employer-provided travel

Operational Statement [OS 19/05](#): "Employer-provided travel from home to a distant workplace — income tax (PAYE) and fringe benefit tax" considers the tax rules around employer-provided travel to distant workplaces.

"Employer-provided travel" includes travel (by car, taxi, plane, bus or train) an employer organises or that an employee organises but an employer pays for. Where the employer organises the travel or pays for it directly, then the provision of that benefit will be subject to FBT unless an exception applies. The operational statement discusses the exception outlined above where an employer provides transport to enable an employee to perform their duties in a distant workplace.

Law: IT07 s [CX 20](#)

Last reviewed on 31 December 2025

Exemption from FBT — business tools [¶21-650]

[¶21-650]

[Click to open document in a browser](#)

The private use or the availability for private use of a business tool provided to an employee may be exempt from FBT. The exemption applies if the business tool is provided mainly for business use. Also, the cost of the business tool to the employer must be no more than \$5,000 (including GST). The exemption may apply to a business tool that is taken to and used away from the employer's premises, provided the employee performs a significant part of the employee's employment duties away from the employer's premises.

A "business tool" is defined as an item that is used by an employee in the performance of the employee's work duties and in the absence of this exemption, would be an unclassified benefit.

Law: IT07 ss [CX 21](#), [YA 1](#) ("business tool")

Last reviewed on 31 December 2025

FBT exemption — certain public transport fares paid by employer [¶21-655]

[¶21-655]

[Click to open document in a browser](#)

Generally, public transport fares that are subsidised by an employer mainly for the purpose of their employees travelling between their home and place of work are subject to FBT ([¶21-440](#)).

However, in order to align the FBT outcomes of travelling to work via car and public transport, and in an effort to encourage a more environmentally friendly choice of transport for employees, an exemption from FBT has been introduced.

From 1 April 2023, an exemption applies to certain types of subsidised “public transport fares” provided by an employer to an employee. For the exemption to apply the following criteria must be met:

- # the transport fare is paid by the employer
- # the transport is for the purposes of getting to work, or going home from work, and
- # the transportation mode is public transport (bus, train, ferry, tram or cable car).

Interaction with s CX 9 (Subsidised transport)

Transport subsidised by an employer is still subject to FBT if the transport does not meet the requirements above.

Example:

Sarah is an air hostess and works for Air New Zealand. Sarah gets a free flight from Auckland to Kerikeri. The flight does not fall within the list of transport services set out in s [CX 19C](#). Therefore, the benefit will continue to be valued, for FBT purposes, at 25% of the highest fare available to the public for a flight from Auckland to Kerikeri.

For the FBT treatment of e-scooters and vehicle-share services, see [¶21-660](#).

Law: IT07 ss [CX 9](#), [CX 19C](#)

Last reviewed on 31 December 2025

FBT exemption — self-powered and low-powered vehicles, and vehicle-share services [¶21-660]

[¶21-660]

[Click to open document in a browser](#)

Generally, public transport fares that are subsidised by an employer, mainly for the purpose of their employees travelling between their home and place of work, are subject to FBT ([¶21-440](#)).

However, in order to align the FBT outcomes of travelling to work via car and public transport, and in order to encourage a more environmentally friendly choice of transport for employees, an exclusion from FBT has been introduced.

From 1 April 2023, an exemption applies for self-powered and electric vehicles. An exclusion for vehicle-share services was also introduced.

Electronic and self-powered vehicles

If an employer provides an employee with any of the following forms of transport (in order to travel between work and home), the cost of the transport is excluded from being a fringe benefit and therefore does not attract fringe benefit tax. This exclusion applies when the vehicle is one of the following:

- # a bicycle
- # an electric bicycle (e-bike)
- # a scooter
- # an electric scooter
- # any other vehicle declared under s 168A of the Land Transport Act 1998 to be:
 - # a mobility device, or
 - # not a motor vehicle.

Vehicle-share services

When an employer provides an employee with financial assistance for the employee's costs related to using a vehicle-share service, for the main purpose of travelling between work and home, the payment is not a fringe benefit (s [CX 19D\(2\)](#)). Section [CX 19D\(4\)](#) defines “vehicle-share services” to mean a transport service that allows users to hire a vehicle for a point-to-point trip through a mobile communication device. This exemption is limited to the same vehicles listed above, being self-powered or low-powered vehicles.

This exemption is not applicable for ride-share motor vehicles, like Uber. Uber cars generally fall within the definition of “[motor vehicles](#)” and therefore are excluded from this exemption (s [CX 19D\(2\)\(e\)\(ii\)](#)).

Law: IT07 ss [CX 19D](#), [YA 1](#) (“[motor vehicle](#)”)

Last reviewed on 31 December 2025

FBT exemption — relief after emergency events [¶21-665]

[¶21-665]

[Click to open document in a browser](#)

From 1 April 2025, an exemption from fringe benefit tax is available in respect of fringe benefits provided to employees for the purpose of alleviating the effects of an emergency event in the 8-week period following the relevant event.

To qualify for the exemption, the benefit ([s FP 21](#)):

- # must otherwise be a fringe benefit and must be provided for the purposes of relieving the employee from the adverse effects of an emergency event
- # must be received by the employee in the 8-week period beginning on the first day of the relevant emergency event, and
- # must not replace normal salary/wages or other PAYE income payments, and must not depend on the seniority of the employee.

If the benefit is provided to an employee who is associated to the employer, other non-associated full-time employees must be eligible to receive the benefit. Further, the benefit must be treated as not being a fringe benefit by the employer.

A \$5,000 limit has been placed on the value of cash payments and fringe benefits which can be valued by the employer (eg provision of vehicle for private use). The FBT exemption will apply to these fringe benefits to the extent that the exemption for cash payments ([¶5-715](#)) has not been utilised.

For “sundry” fringe benefits (eg benefits provided at a drop-in centre) where the employer cannot estimate the value, there is no monetary limit.

Note an “emergency event” is defined under [s 3\(1\)](#) of the TAA as an emergency as defined in s 4 of the Civil Defence Emergency Management Act 2002 that is declared an emergency under that Act, or subject to a power exercised under s 121 or s 122 of the Biosecurity Act 1993.

Prior to 1 April 2025, a similar exemption applied to fringe benefits provided to employees for the purposes of relief from the aftermath of the North Island flooding events ([s CZ 24B](#)).

Law: IT07 ss [FP 21](#), [CZ 24B](#), [YA 1](#) (“[North Island flooding event](#)”); TAA, s [3\(1\)](#) (“[emergency event](#)”)

Last reviewed on 31 December 2025